

Samsung Biologics Co., Ltd. and its Subsidiaries

**Consolidated Financial Statements
December 31, 2022 and 2021**

Samsung Biologics Co., Ltd. and its Subsidiaries
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December 31, 2022 and 2021

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Independent Auditor's Report

(English Translation of a Report Originally Issued in Korean)

To the Board of Directors and Shareholders of
Samsung Biologics Co., Ltd.

Opinion

We have audited the accompanying consolidated financial statements of Samsung Biologics Co., Ltd. (the "Company") and its subsidiaries (collectively referred to as the "Group"), which comprise the consolidated statements of financial position as at December 31, 2022 and 2021, and the consolidated statements of comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for the years then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2022 and 2021, and its consolidated financial performance and its consolidated cash flows for the years then ended in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (Korean IFRS).

Basis for Opinion

We conducted our audits in accordance with Korean Standards on Auditing. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the ethical requirements of the Republic of Korea that are relevant to our audit of the financial statements and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Emphasis of Matter

Without modifying our opinion, we draw attention to Note 35 to the consolidated financial statements.

Administrative lawsuit against a ruling of the Securities and Futures Commissions to suspend sanctions, and the related indictment.

As described in Note 35 to the consolidated financial statements, the Securities and Futures Commission (the "SFC") made a decision to impose measures on the Group in relation to alleged errors in accounting for the Group's investment in Samsung Bioepis from 2012 to the first half of 2018.

The Group submitted requests to the Seoul Administrative Court (the "Court") to suspend the measures imposed by the SFC and the Court accepted the Group's requests. In relation to this, the appeal and re-appeal made by SFC were rejected by the Seoul High Court and the Supreme Court, respectively.

An administrative lawsuit and prosecution investigation against the Group's former CEO and CFO are in progress, and it is not possible to predict the outcome of the administrative lawsuit and the investigation. However, if the Group loses the administrative lawsuit, then the Group's consolidated financial statements for 2012 and the subsequent reporting periods could be restated.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

(1) Revenue recognition of CMO

Why it is determined to be a Key Audit Matter

The Group operates a CMO (Contract Manufacturing Organization) business which is engaged for the production of bio-medicine. The Group's revenue recognition process primarily includes technology transfer procedures, regulatory approval procedures, and commercial production procedures. The Group recognizes revenue over time when the transfer of control of produced biomedicine to a customer is made (Note 2).

Since the timing of transfer of control of CMO sales may vary depending on the transaction agreement between the parties, the timing of recognition of CMO business revenue is identified as a significant risk. And we determined that revenue recognition of the CMO to be a key audit matter as the revenue of the CMO business comprises a material portion of the consolidated financial statements.

How our audit addressed the Key Audit Matter

Audit procedures we have performed in relation to the CMO revenue recognition are as follows.

- Assessed the reasonableness of the accounting policy in relation to revenue recognition.
- Obtained an understanding and evaluated internal controls over the determination of the timing of revenue recognition.
- Inspected contracts for a sample of projects to assess the appropriateness of revenue recognition accounting.
- Assessed the appropriateness of the determination of the revenue recognition point by project through audit sampling.

(2) Appropriateness of transferred consideration allocation for a business combination

Why it is determined to be a Key Audit Matter

As explained in Note 34 to the consolidated financial statements, the Group additionally acquired 50%-1 shares and obtained control of Samsung Bioepis Co., Ltd. for ₩ 2,718,846 million (total transferred consideration including contingent consideration: ₩ 5,478,776 million) in 2022, and was accounted for in accordance with Korean IFRS 1103 *Business Combination*.

The Group performed the allocation of transferred consideration based on fair value estimation of the assets acquired and liabilities assumed and, for this purpose, engaged an independent external expert.

We considered the appropriateness of transferred consideration allocation for a business combination to be a key audit matter given the management's significant judgment involved for the fair value assessment in allocation of the consideration.

How our audit addressed the Key Audit Matter

Audit procedures we have performed in relation to the allocation of the consideration for a business combination in Samsung Bioepis Co., Ltd. are as follows.

- Assessed the independence and competence of the independent external expert engaged by management.
- Examined the major contract terms in the acquisition contract.
- Engaged our internal specialists, to assist in assessing the appropriateness of the valuation method and key assumptions.
- Assessed the reasonableness of the key assumptions and variables used in the assessment by comparing the latest business plans adopted by management with historical performance and available external data.
- Compared the actual results for the current year with management's estimates of cash flows calculations from the previous year in order to assess the historical appropriateness of the management's forecasting process.
- Tested mathematical accuracy of calculations and analysed the sensitivity.
- Assessed the effectiveness of design and operation of management's review controls.
- Assessed the appropriateness of the disclosures in the notes to the consolidated financial statements related to the business combination.

Other Matter

Auditing standards and their application in practice vary among countries. The procedures and practices used in the Republic of Korea to audit such financial statements may differ from those generally accepted and applied in other countries.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with Korean IFRS, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Korean Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with Korean Standards on Auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Ki-Rok Kim, Certified Public Accountant.

Samid PricewaterhouseCoopers

Seoul, Korea

March 2, 2023

This report is effective as of March 2, 2023, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the accompanying consolidated financial statements and notes thereto. Accordingly, the readers of the audit report should understand that there is a possibility that the above audit report may have to be revised to reflect the impact of such subsequent events or circumstances, if any.

Samsung Biologics Co., Ltd. and its Subsidiaries
Consolidated Statements of Financial Position
December 31, 2022 and 2021

<i>(in Korean won)</i>	Notes	2022	2021
Assets			
Current assets			
Cash and cash equivalents	5,6,33	₩ 890,819,570,657	₩ 47,410,383,773
Short-term financial instruments	5,33	2,168,901,000,000	450,000,000,000
Financial assets at fair value through profit or loss	5,33	98,505,711,790	850,039,876,800
Trade and other receivables	5,8,31,33	732,839,221,107	366,330,684,127
Inventories	10,25	2,375,818,961,320	1,012,870,791,066
Contract assets	9,33	87,316,397,189	63,910,843,988
Other current financial assets	5,11,33	48,789,472,350	23,984,945,243
Other current assets	12	54,666,232,664	8,627,800,354
		<u>6,457,656,567,077</u>	<u>2,823,175,325,351</u>
Non-current assets			
Long-term financial instruments	5,7,33	7,335,813,270	189,491,294
Trade and other receivables	5,8,31,33	10,635,001,947	4,428,344,378
Investments in associates and joint ventures	13	30,774,605,702	2,661,309,486,003
Property, plant and equipment	14	3,416,528,836,940	2,207,063,705,617
Intangible assets	15	5,961,306,684,591	32,171,618,395
Right-of-use asset	19	454,923,496,204	20,623,773,334
Net defined benefit assets	21	29,646,230,762	3,572,380,111
Contract assets	9,33	177,626,602,866	189,331,100,143
Other non-current financial assets	5,11,33	32,091,698,923	26,919,379,491
Other non-current assets	12	3,524,720,204	1,226,182,746
		<u>10,124,393,691,409</u>	<u>5,146,835,461,512</u>
Total assets		<u>₩ 16,582,050,258,486</u>	<u>₩ 7,970,010,786,863</u>

Samsung Biologics Co., Ltd. and its Subsidiaries
Consolidated Statements of Financial Position
December 31, 2022 and 2021

Liabilities

Current liabilities

Trade and other payables	5,17,21,31,33	₩ 1,761,600,070,367	₩ 399,030,093,590
Emission liability	18	538,848,000	725,692,500
Debentures and borrowings	5,16,30,32,33	1,138,800,019,346	159,855,000,000
Contract liabilities	9,31	68,530,178,265	65,563,229,062
Lease liabilities	5,19,32,33	142,247,057,483	7,537,132,303
Current tax liabilities		223,298,677,221	110,174,301,963
Other current liabilities	9,20,31	846,526,710,538	364,409,200,047
		<u>4,181,541,561,220</u>	<u>1,107,294,649,465</u>

Non-current liabilities

Trade and other payables	5,17,21,31,33	551,366,868,613	9,152,703,103
Debentures and borrowings	5,16,30,32,33	965,090,332,157	1,114,683,996,094
Derivative liabilities	5	22,733,991,336	-
Contract liabilities	9,31	318,360,573,185	220,058,599,452
Lease liabilities	5,19,32,33	267,895,530,480	10,671,166,108
Deferred tax liabilities, net	28	1,214,215,655,517	487,711,642,843
Other non-current liabilities	9,20,31	76,371,350,821	29,335,889,118
		<u>3,416,034,302,109</u>	<u>1,871,613,996,718</u>

Total liabilities

<u>7,597,575,863,329</u>	<u>2,978,908,646,183</u>
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Equity

Share capital	1,22	177,935,000,000	165,412,500,000
Share premium	22	5,663,111,352,594	2,487,313,082,024
Accumulated other comprehensive loss	13,21,22	(2,173,393,264)	(8,810,638,260)
Retained earnings		<u>3,145,601,435,827</u>	<u>2,347,187,196,916</u>

Total equity

<u>8,984,474,395,157</u>	<u>4,991,102,140,680</u>
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Total liabilities and equity

<u>₩ 16,582,050,258,486</u>	<u>₩ 7,970,010,786,863</u>
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The above consolidated statements of financial position should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and its Subsidiaries
Consolidated Statements of Comprehensive Income
Years Ended December 31, 2022 and 2021

<i>(in Korean won)</i>	Note	2022	2021
Revenue	4,23,31	₩ 3,001,295,197,683	₩ 1,568,006,928,039
Cost of revenue	9,10,23,25, 31	<u>(1,532,847,164,868)</u>	<u>(841,555,562,592)</u>
Gross profit		<u>1,468,448,032,815</u>	<u>726,451,365,447</u>
Selling, general and administrative expenses	24,25,31	<u>(484,820,638,438)</u>	<u>(189,141,957,375)</u>
Operating profit		<u>983,627,394,377</u>	<u>537,309,408,072</u>
Other income	26,31	65,693,438,704	414,264,803
Other expenses	26	(6,747,734,333)	(8,742,667,978)
Finance income	5,27	212,459,898,479	47,589,449,930
Finance costs	5,27	(273,268,250,923)	(29,140,999,592)
Share of profit of associates and joint ventures	13	27,259,827,411	13,853,142,056
Profit before income tax		<u>1,009,024,573,715</u>	<u>561,282,597,291</u>
Income tax expense	28	<u>(210,968,363,633)</u>	<u>(167,693,129,636)</u>
Profit for the year		<u>₩ 798,056,210,082</u>	<u>₩ 393,589,467,655</u>
Profit attributable to:			
Owners of the Parent Company		₩ 798,056,210,082	₩ 393,589,467,655
Non-controlling interests		-	-
Other comprehensive income (loss)			
<i>Items that will not be reclassified to profit or loss</i>			
Remeasurements of net defined benefit liabilities	21,22	₩ 5,090,600,582	₩ (2,746,276,917)
Share of other comprehensive income of associates and joint ventures	13,22	1,132,142,757	461,315,413
<i>Items that may be subsequently reclassified to profit or loss</i>			
Foreign currency translation gain	22	732,165,370	993,321,358
Share of other comprehensive income of associates and joint ventures	13,22	<u>40,365,116</u>	<u>21,140,807</u>
Other comprehensive income (loss) for the year, net of tax		<u>6,995,273,825</u>	<u>(1,270,499,339)</u>
Total comprehensive income for the year		<u>₩ 805,051,483,907</u>	<u>₩ 392,318,968,316</u>
Total comprehensive income for the year is attributed to:			
Owners of the Parent Company		₩ 805,051,483,907	₩ 392,318,968,316
Non-controlling interests		-	-
Earnings per share			
Basic earnings per share	29	₩ 11,442	₩ 5,949
Diluted earnings per share	29	11,432	5,949

The above consolidated statements of comprehensive income should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and its Subsidiaries
Consolidated Statements of Changes in Equity
Years Ended December 31, 2022 and 2021

(in Korean won)

	Notes	Share capital	Share premium	Accumulated other comprehensive income(loss)	Retained earnings	Non-controlling interests	Total
Balance at January 1, 2021		₩ 165,412,500,000	₩ 2,487,313,082,024	₩ (7,540,138,921)	₩ 1,953,597,729,261	₩ -	₩ 4,598,783,172,364
Total comprehensive income							
Profit for the year		-	-	-	393,589,467,655	-	393,589,467,655
Other comprehensive income (loss)							
Remeasurements of net defined benefit liabilities	21,22	-	-	(2,746,276,917)	-	-	(2,746,276,917)
Foreign currency translation loss	22	-	-	993,321,358	-	-	993,321,358
Share of other comprehensive loss of associate and joint venture	13,22	-	-	482,456,220	-	-	482,456,220
Total comprehensive income for the period		-	-	(1,270,499,339)	393,589,467,655	-	392,318,968,316
Balance at December 31, 2021		₩ 165,412,500,000	₩ 2,487,313,082,024	₩ (8,810,638,260)	₩ 2,347,187,196,916	₩ -	₩ 4,991,102,140,680
Balance at January 1, 2022		₩ 165,412,500,000	₩ 2,487,313,082,024	₩ (8,810,638,260)	₩ 2,347,187,196,916	₩ -	₩ 4,991,102,140,680
Total comprehensive income							
Profit for the year		-	-	-	798,056,210,082	-	798,056,210,082
Other comprehensive income							
Remeasurements of net defined benefit liabilities	21,22	-	-	5,090,600,582	-	-	5,090,600,582
Foreign currency translation gain	22	-	-	732,165,370	-	-	732,165,370
Share of other comprehensive income of associate and joint venture	13,22	-	-	1,172,507,873	-	-	1,172,507,873
Total comprehensive income for the period		-	-	6,995,273,825	798,056,210,082	-	805,051,483,907
Transactions with owners							
Capital increase	22	12,522,500,000	3,175,798,270,570	-	-	-	3,188,320,770,570
Changes in scope of consolidation	22	-	-	(358,028,829)	358,028,829	-	-
Balance at December 31, 2022		₩ 177,935,000,000	₩ 5,663,111,352,594	₩ (2,173,393,264)	₩ 3,145,601,435,827	₩ -	₩ 8,984,474,395,157

The above consolidated statements of changes in equity should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and its Subsidiaries
Consolidated Statements of Cash Flows
Years Ended December 31, 2022 and 2021

<i>(in Korean won)</i>	Notes	2022	2021
Cash flows from operating activities			
Profit for the year	₩	798,056,210,082	₩ 393,589,467,655
Adjustments for:			
Retirement benefits	21	29,801,368,050	20,103,946,294
Depreciation	14,24,25	173,013,272,268	144,061,397,315
Amortization of intangible assets	15,24,25	123,795,410,142	6,725,661,312
Depreciation of right-of-use asset	19	11,455,638,505	11,001,591,240
Loss on valuation of inventories	10	22,477,434,974	3,346,478,842
Impairment loss on contract assets	9	-	725,886,640
Loss on retirement of property, plant and equipment	26	1,528,177,837	6,403,663,122
Gain on disposal of property, plant and equipment	14,26	(48,498,189)	(36,828,097)
Loss on disposal of property, plant and equipment	14,26	383,895,909	3,457,427
Loss on retirement of intangible assets	26	724,075,601	1,095,514,008
Loss on disposal of intangible assets	26	2,000	-
Gain on foreign currency translations	27	(7,686,931,041)	(7,743,465,401)
Loss on foreign currency translations	27	102,601,676,917	5,389,216,720
Gain on valuation of derivatives	5,27	(7,697,776,679)	(5,356,982,975)
Loss on valuation of derivatives	5,27	2,126,351,909	-
Gain on disposal of investments	26	(64,417,937,123)	-
Cost of emissions	18	538,848,000	725,692,500
Interest income	5,27	(53,292,639,827)	(9,655,916,323)
Interest expenses	5,27	64,064,345,794	14,707,182,374
Gain on valuation of financial assets at fair value through profit or loss	5,27	(476,889,379)	(86,522,539)
Gain on disposal of financial assets at fair value through profit or loss	5,27	(7,757,718,658)	(182,600,036)
Bad debt expense	8	22,406,812,819	4,857,447,879
Share of loss (profit) of associates and joint ventures	13,35	(27,259,827,411)	(13,853,142,056)
Income tax expense	28	210,968,363,635	167,693,129,636
Others		428,363,076	(304,253,983)
		<u>597,675,819,129</u>	<u>349,620,553,899</u>
Change in operating assets and liabilities:			
Trade and other receivables		(305,335,556,829)	(120,659,699,353)
Inventories		(179,912,330,182)	(370,570,855,138)
Deposits provided		(7,149,457,169)	97,035,167
Contract assets		(51,236,198,489)	(55,990,799,230)
Other assets		26,728,682,752	(1,349,448,096)
Trade and other payables		134,593,715,653	21,059,838,368
Contract liabilities		(9,224,765,738)	88,504,956,209
Emission liability		(725,692,500)	(427,059,724)
Advance receipts		139,333,199,466	215,803,582,847
Unearned revenues		44,017,493,402	-
Other liabilities		(90,854,774)	3,937,849,367

Samsung Biologics Co., Ltd. and its Subsidiaries
Consolidated Statements of Cash Flows
Years Ended December 31, 2022 and 2021

Retirement benefits paid	21	(2,615,131,830)	(4,095,377,068)
Transfer from affiliates of defined benefit liabilities	21	355,516,120	90,000,000
Contributions to plan assets	21	(52,223,887,152)	(11,240,520,045)
		<u>(263,485,267,270)</u>	<u>(234,840,496,696)</u>
Interest received		43,214,027,985	7,189,059,882
Interest paid		(33,940,309,501)	(18,593,851,920)
Income tax paid		<u>(188,472,670,339)</u>	<u>(42,368,515,551)</u>
Net cash inflow from operating activities		<u>953,047,810,086</u>	<u>454,596,217,269</u>
Cash flows from investing activities			
Decrease in short-term financial instruments		7,372,906,288,210	3,150,000,000,000
Decrease in financial assets at fair value through profit or loss		4,050,000,000,000	2,190,000,000,000
Decrease in long-term financial instruments		4,983,472,523	-
Disposal of property, plant and equipment	14	64,009,900	37,635,000
Receipt of government grants		178,518,182	-
Increase in short-term financial instruments		(9,124,240,288,210)	(3,300,000,000,000)
Increase in long-term financial instruments		(5,306,730,000)	-
Increase in financial assets at fair value through profit or loss		(3,298,505,711,790)	(2,540,000,000,000)
Acquisition of property, plant and equipment	14	(956,839,702,456)	(406,253,514,919)
Acquisition of intangible assets	15	(52,385,908,554)	(14,898,311,036)
Business combinations	34	(1,081,821,081,255)	-
Acquisition of investments in associates and joint ventures	13	<u>(15,510,000,000)</u>	<u>(12,375,000,000)</u>
Net cash outflow from investing activities		<u>(3,106,477,133,450)</u>	<u>(933,489,190,955)</u>
Cash flows from financing activities			
Proceeds from issuance of debentures	16,32	-	498,436,060,000
Proceeds from short-term borrowings	16,32	593,750,000,000	50,000,000,000
Proceeds from long-term borrowings	16,32	211,903,000,000	149,920,000,000
Capital increase	22	3,200,751,000,000	-
Repayment of debentures	16,32	-	(150,000,000,000)
Repayment of short-term borrowings	16,32	(496,987,928,125)	(30,000,000,000)
Repayment of current portion of long-term borrowings	16,32	(440,355,000,000)	(10,980,000,000)
Repayment of lease liabilities	19,32	(56,550,582,915)	(10,753,924,352)
Stock issuance cost		<u>(12,430,229,430)</u>	<u>-</u>
Net cash inflow from financing activities		<u>3,000,080,259,530</u>	<u>496,622,135,648</u>
Net increase in cash and cash equivalents		846,650,936,166	17,729,161,962
Cash and cash equivalents at the beginning of the year		47,410,383,773	28,850,120,614
Effects of exchange rate changes		<u>(3,241,749,282)</u>	<u>831,101,197</u>
Cash and cash equivalents at the end of the year		<u>₩ 890,819,570,657</u>	<u>₩ 47,410,383,773</u>

The above consolidated statements of cash flows should be read in conjunction with the accompanying notes.

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1. General Information

Samsung Biologics Co., Ltd. (the "Company") was established on April 22, 2011 under the commercial law of the Republic of Korea and is engaged in Biosimilar manufacturing. The Company's head office is located in 300, Songdobio-daero, Yeonsu-gu, Incheon-si, The Republic of Korea. The Company was listed on securities market on November 10, 2016. As at December 31, 2022, the Company's share capital is W 177,935 million.

The shareholders of the Company as at December 31, 2022, are as follows:

Shareholder	Number of shares	Percentage of ownership (%)
Samsung C&T Corporation	30,646,705	43.06
Samsung Electronics Co., Ltd.	22,217,309	31.22
Others	18,309,986	25.72
	<u>71,174,000</u>	<u>100.00</u>

Samsung Biologics Co., Ltd. (the "Company", a controlling company in accordance with International Financial Reporting Standards as adopted by the Republic of Korea ("Korean IFRS") 1110 *Consolidated Financial Statements*) and a subsidiary (collectively referred to as the "Group") prepared the consolidated financial statements accounting for the investments in associates and joint ventures using the equity method.

1.1 Consolidated Subsidiary

In 2022, the Group acquired 50%-1 shares of Samsung Bioepis Co., Ltd. which control was obtained by holding 100% shares (Note 34).

Details of the consolidated subsidiary as at December 31, 2022, are as follows:

	Location	Percentage ownership (%)	Main business	Closing month
SAMSUNG BIOLOGICS AMERICA Inc.	USA	100.00	Bio-medicine development	December
SAMSUNG BIOEPIS Co., Ltd.	Republic of Korea	100.00	Biopharmaceutical development and commercialization	December
SAMSUNG BIOEPIS UK LIMITED	UK	100.00	Other services	December
SAMSUNG BIOEPIS CH GMBH	Swiss	100.00	Other services	December
SAMSUNG BIOEPIS AU PTY LTD	Australia	100.00	Other services	December
SAMSUNG BIOEPIS BR PHARMACEUTICAL LTDA	Brazil	100.00	Other services	December

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SAMSUNG BIOEPIS NZ LIMITED	New Zealand	100.00	Other services	December
SAMSUNG BIOEPIS IL LTD	Israel	100.00	Other services	December
SAMSUNG BIOEPIS NL B.V	Netherlands	100.00	Other services	December
SAMSUNG BIOEPIS TW Limited	Taiwan	100.00	Other services	December
SAMSUNG BIOEPIS PL Sp z o.o	Poland	100.00	Other services	December
SAMSUNG BIOEPIS HK Limited	Hong Kong	100.00	Other services	December
SAMSUNG BIOEPIS United States Inc	USA	100.00	Other services	December

Summarized financial information for consolidated subsidiary as at and for the years ended December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)		2022										
		Assets		Liabilities		Equity		Sales		Profit for the year		Total comprehensive income ¹
Samsung Biologics America, Inc.	₩	16,677,877	₩	3,140,302	₩	13,537,574	₩	6,327,235	₩	375,755	₩	1,145,689
Samsung Bioepis Co., Ltd. ²	₩	2,834,623,746	₩	1,658,528,872	₩	1,176,094,873	₩	663,772,381	₩	168,228,953	₩	167,064,084

¹ It includes foreign currency translation.

² On April 20, 2022, Samsung Bioepis Co., Ltd. and its subsidiaries were included to the consolidated subsidiaries whose sales, profit for the period, and total comprehensive income are subsequent to the acquisition date.

(in thousands of Korean won)	2021					
	Assets	Liabilities	Equity	Sales	Profit for the year	Total comprehensive loss ¹
Samsung Biologics America, Inc.	₩ 16,128,560	₩ 3,809,799	₩ 12,318,761	₩ 6,842,430	₩ 404,215	₩ 1,397,536

¹ It includes foreign currency translation.

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1.2 Changes in Scope for Consolidation

Subsidiaries newly included in the consolidation and excluded from the consolidation during the year ended December 31, 2022:

Subsidiaries newly included in the consolidation

Name of Subsidiaries	Reason
SAMSUNG BIOEPIS Co., Ltd.	Newly acquired
SAMSUNG BIOEPIS UK LIMITED	
SAMSUNG BIOEPIS CH GMBH	
SAMSUNG BIOEPIS AU PTY LTD	
SAMSUNG BIOEPIS BR PHARMACEUTICAL LTDA	
SAMSUNG BIOEPIS NZ LIMITED	
SAMSUNG BIOEPIS IL LTD	
SAMSUNG BIOEPIS NL B.V	
SAMSUNG BIOEPIS TW Limited	
SAMSUNG BIOEPIS PL Sp z o.o	
SAMSUNG BIOEPIS HK Limited	
SAMSUNG BIOEPIS United States Inc	
Samsung Venture Capital Union #36	

Subsidiaries excluded from the consolidation

Name of Subsidiaries	Reason
Samsung Venture Capital Union #36	Liquidation

2. Significant Accounting Policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Basis of Preparation

The Group maintains its accounting records in Korean won and prepares statutory consolidated financial statements in the Korean language (Hangul) in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (Korean IFRS). The accompanying

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consolidated financial statements have been condensed, restructured and translated into English from the Korean language financial statements.

Certain information attached to the Korean language financial statements, but not required for a fair presentation of the Group's financial position, financial performance or cash flows, is not presented in the accompanying financial statements.

The consolidated financial statements of the Group have been prepared in accordance with Korean IFRS. These are the standards, subsequent amendments and related interpretations issued by the International Accounting Standards Board (IASB) that have been adopted by the Republic of Korea.

The financial statements have been prepared on a historical cost basis, except for the following:

- Certain financial assets and liabilities (including derivative instruments), and
- Defined benefit pension plans – plan assets measured at fair value.

The preparation of financial statements requires the use of critical accounting estimates. Management also needs to exercise judgement in applying the Group's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 3.

2.2 Changes in Accounting Policies and Disclosures

2.2.1 New and amended standards adopted by the Group

The Group has applied the following standards and amendments for the first time for their annual reporting period commencing January 1, 2022.

(a) Amendments to Korean IFRS 1103 Business Combination – Reference to the Conceptual Framework

The amendments update a reference of definition of assets and liabilities to be recognized in a business combination in revised Conceptual Framework for Financial Reporting. However, the amendments add an exception for the recognition of liabilities and contingent liabilities within the scope of Korea IFRS 1037 Provisions, Contingent Liabilities and Contingent Assets, and Korean IFRS 2121 Levies. The amendments also clarify that contingent assets should not be recognized at the acquisition date. The amendment does not have a significant impact on the consolidated financial statements.

(b) Amendments to Korean IFRS 1016 Property, Plant and Equipment - Proceeds before intended use

The amendments prohibit an entity from deducting from the cost of an item of property, plant and equipment any proceeds from selling items produced while the entity is preparing the asset for its

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intended use. Instead, the entity will recognize the proceeds from selling such items, and the costs of producing those items, in profit or loss. The amendment does not have a significant impact on the consolidated financial statements.

(c) Amendments to Korean IFRS 1037 Provisions, Contingent Liabilities and Contingent Assets - Onerous Contracts : Cost of Fulfilling a Contract

The amendments clarify that the direct costs of fulfilling a contract include both the incremental costs of fulfilling the contract and an allocation of other costs directly related to fulfilling contracts when assessing whether the contract is onerous. The amendment does not have a significant impact on the consolidated financial statements.

(d) Annual improvements to Korean IFRS 2018-2020

The amendment does not have a significant impact on the financial statements.

- Korean IFRS 1101 *First time Adoption of Korean International Financial Reporting Standards* – Subsidiaries that are first-time adopters
- Korean IFRS 1109 *Financial Instruments* – Fees related to the 10% test for derecognition of financial liabilities
- Korean IFRS 1041 *Agriculture* – Measuring fair value

2.2.2 New standards and interpretations not yet adopted by the Group

The following new accounting standards and interpretations have been published that are not mandatory for December 31, 2022 reporting periods and have not been early adopted by the Group.

(a) Amendments to Korean IFRS 1001 Presentation of Financial Statements - Classification of Liabilities as Current or Non-current

The amendments clarify that liabilities are classified as either current or non-current, depending on the substantive rights that exist at the end of the reporting period. Classification is unaffected by the likelihood that an entity will exercise right to defer settlement of the liability or the expectations of management. Also, the settlement of liability includes the transfer of the entity's own equity instruments, however, it would be excluded if an option to settle them by the entity's own equity instruments if compound financial instruments is met the definition of equity instruments and recognized separately from the liability. The amendments should be applied for annual periods beginning on or after January 1, 2023, and earlier application is permitted. The Group is in review for the impact of these amendments on the consolidated financial statements.

(b) Korean IFRS 1001 Presentation of Financial Statements - Disclosure of Accounting Policies

The amendments to Korean IFRS 1001 define and require entities to disclose their material

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accounting policies. The amendments should be applied for annual periods beginning on or after January 1, 2023, and earlier application is permitted. The Group is in review for the impact of these amendments on the consolidated financial statements.

(c) Korean IFRS 1008 Accounting policies, changes in accounting estimates and errors - Definition of Accounting Estimates

The amendments define accounting estimates and clarify how to distinguish them from changes in accounting policies. The amendments should be applied for annual periods beginning on or after January 1, 2023, and earlier application is permitted. The Group is in review for the impact of these amendments on the consolidated financial statements.

(d) Korean IFRS 1012 Income Taxes - Deferred Tax related to Assets and Liabilities arising from a Single Transaction

The amendments include an additional condition to the exemption to initial recognition of an asset or liability that a transaction does not give rise to equal taxable and deductible temporary differences at the time of the transaction. The amendments should be applied for annual periods beginning on or after January 1, 2023, and earlier application is permitted. The Group is in review for the impact of these amendments on the consolidated financial statements.

(e) Korean IFRS 1001 Presentation of Financial Statements - Disclosure of gain or loss on valuation of financial liabilities subject to adjustment of exercise price

If the entire or a part of financial instrument, whose exercise price is subject to change due to the issuer's share price, is classified as a financial liability, the carrying amount of the financial liability and related gains and losses shall be disclosed. The amendments should be applied for annual periods beginning on or after January 1, 2023, and earlier application is permitted. The Group does not expect that these amendments have a significant impact on the consolidated financial statements.

2.3 Consolidation

The Group has prepared the consolidated financial statements in accordance with Korean IFRS 1110 *Consolidated Financial Statements*.

(a) Subsidiaries

Subsidiaries are all entities over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The acquisition method of accounting is used to account for business combinations by the Group. The consideration transferred is measured at the fair values of the assets transferred, and

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identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognizes any non-controlling interest in the acquired entity that is provided a proportionate share in the case of liquidation on an acquisition-by-acquisition basis either at fair value or at the non-controlling interest's proportionate share of the acquired entity's net identifiable assets. All other non-controlling interests are measured at fair values, unless otherwise required by other standards. Acquisition-related costs are expensed as incurred.

The excess of consideration transferred, amount of any non-controlling interest in the acquired entity and acquisition-date fair value of any previous equity interest in the acquired entity over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognized directly in the profit or loss as a bargain purchase.

Intercompany transactions, balances and unrealized gains on transactions between group companies are eliminated. Unrealized losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

The Group treats transactions with non-controlling interests that do not result in a loss of control as transactions with equity owners of the Parent Company. Any difference between the amount of the adjustment to non-controlling interest and any consideration paid or received is recognized in a separate reserve within equity attributable to owners of the Parent Company.

When the Group ceases to consolidate for a subsidiary because of a loss of control, any retained interest in the subsidiary is remeasured to its fair value with the changed in carrying amount recognized in profit or loss.

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(b) Associates and joint ventures

Associates are those entities in which the Group has significant influence, but no control or joint control, over the financial and operating policies.

A joint venture is an arrangement in which the Group has joint control, whereby the Group has rights to the net assets of the arrangement, rather than rights to its assets and obligations for its liabilities.

Investments in associates and joint ventures are accounted for using the equity method of accounting, after initially being recognized at cost. Unrealized gains on transactions between the Group and its associates and joint ventures are eliminated to the extent of the Group's interest in the associates and joint ventures. If the Group's share of losses of an associate and joint venture equals or exceeds its interest in the associate and joint venture (including long-term interests that, in substance, form part of the Group's net investment in the associate and joint venture), the Group discontinues recognizing its share of further losses. After the Group's interest is reduced to zero, additional losses are provided for, and a liability is recognized, only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate.

If there is an objective evidence of impairment for the investment in the associate and joint venture, the Group recognizes the difference between the recoverable amount of the associate and joint venture and its book amount as impairment loss. If an associate and joint venture uses accounting policies other than those of the Group for like transactions and events in similar circumstances, if necessary, adjustments shall be made to make the accounting policies of the associate and joint venture conform to those of the Group when the financial statements of the associate and joint venture are used by the Group in applying the equity method.

2.4 Cash and Cash Equivalents

Cash and cash equivalents include cash on hand, deposits held at call with banks, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of change in value.

2.5 Foreign Currency Translation

(a) Functional and presentation currency

Items included in the financial statements of the Group are measured using the currency of the primary economic environment in which each entity operates (the "functional currency"). The consolidated financial statements are presented in Korean won, which is the Group's functional and presentation currency.

(b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in

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foreign currencies at year end exchange rates are generally recognized in profit or loss. They are deferred in other comprehensive income if they relate to qualifying cash flow hedges and qualifying effective portion of net investment hedges, or are attributable to monetary part of the net investment in a foreign operation.

Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss. For example, translation differences on non-monetary assets and liabilities such as equities held at fair value through profit or loss are recognized in profit or loss as part of the fair value gain or loss and translation differences on non-monetary assets such as equities held at fair value through other comprehensive income are recognized in other comprehensive income.

2.6 Financial Assets

(a) Classification

The Group classifies its financial assets in the following measurement categories:

- those to be measured at amortized cost
- those to be measured at fair value through other comprehensive income, and
- those to be measured at fair value through profit or loss.

The classification depends on the Group's business model for managing the financial assets and the contractual terms of the cash flows.

For financial assets measured at fair value, gains and losses will either be recorded in profit or loss or other comprehensive income. For investments in debt instruments, this will depend on the business model in which the investment is held. The Group reclassifies debt investments when, and only when its business model for managing those assets changes.

For investments in equity instruments that are not held for trading, this will depend on whether the Group has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income. Changes in fair value of non-designated equity investment are recognized in profit or loss.

(b) Measurement

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

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A. Debt instruments

Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the cash flow characteristics of the asset. The Group classifies its debt instruments into one of the following three measurement categories:

- **Amortized cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortized cost. A gain or loss on a debt investment that is subsequently measured at amortized cost and is not part of a hedging relationship is recognized in profit or loss when the asset is derecognized or impaired. Interest income from these financial assets is included in 'finance income' using the effective interest rate method.
- **Fair value through other comprehensive income:** Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at fair value through other comprehensive income. Movements in the carrying amount are taken through other comprehensive income, except for the recognition of impairment loss (reversal of impairment loss), interest income and foreign exchange gains and losses which are recognized in profit or loss. When the financial asset is derecognized, the cumulative gain or loss previously recognized in other comprehensive income is reclassified from equity to profit or loss.
- **Fair value through profit or loss:** Assets that do not meet the criteria for amortized cost or fair value through other comprehensive income are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognized in 'finance income or costs'.

B. Equity instruments

The Group subsequently measures all equity investments at fair value. Where the Group's management has elected to present fair value gains and losses on equity investments, which are held for long-term investments or strategic purposes, in other comprehensive income, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investments. Dividend income from such investments continue to be recognized as 'finance income' when the right to receive payments is established.

Changes in the fair value of financial assets at fair value through profit or loss are recognized in 'finance income and expenses'. Impairment loss (reversal of impairment loss) on equity investments measured at fair value through other comprehensive income are not reported separately.

(c) Impairment

The Group assesses on a forward-looking basis the expected credit losses associated with its debt instruments carried at amortized cost and fair value through other comprehensive income. The impairment methodology applied depends on whether there has been a significant increase in credit risk. For trade receivables and lease receivables, the Group applies the simplified approach, which requires expected lifetime credit losses to be recognized from initial recognition

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of the receivables.

(d) Recognition and Derecognition

Regular way purchases and sales of financial assets are recognized or derecognized on the trade-date, the date on which the Group commits to purchase or sell the asset. Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all the risks and rewards of ownership.

If a transfer does not result in derecognition because the Group has retained substantially all the risks and rewards of ownership of the transferred asset, the Group continues to recognize the transferred asset in its entirety and recognizes a financial liability for the consideration received.

(e) Offsetting of financial instruments

Financial assets and liabilities are offset and reported in the statement of financial position where there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the assets and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and also in the event of default, insolvency or bankruptcy of the Group or the counterparty.

2.7 Derivative Instruments

Derivatives are initially recognized at fair value on the date when a derivative contract is entered into and are subsequently remeasured at their fair value at the end of each reporting period. Changes in the fair value of any derivative instrument that does not qualify for hedge accounting are recognized immediately in profit or loss based on the nature of transactions.

2.8 Trade Receivables

Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. Trade receivables are recognized initially at the amount of consideration that is unconditional, unless they contain significant financing components and are recognized at fair value.

2.9 Inventories

Inventories are stated at the lower of cost and net realizable value. Cost is determined using the individual method, moving weighted average method, or monthly gross average method. The cost of inventories includes expenditures for acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their existing location and condition. Fixed production overheads which are included in the costs of finished goods or work-in-process are allocated based on normal capacity of production facilities.

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Inventories are measured at the lower of cost and net realizable value. The amount of any write-down of inventories to net realizable value and all losses of inventories are recognized as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realizable value, are recognized as a reduction in the amount of inventories recognized as cost of revenue in the period in which the reversal occurs.

2.10 Property, Plant and Equipment

Property, plant and equipment are stated at historical cost less accumulated depreciation and accumulated impairment losses.

Historical cost includes expenditure that is directly attributable to the acquisition of the items. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are recognized as expense during the financial period in which they are incurred.

Depreciation of all property, plant and equipment, except for land, is calculated using the straight-line method to allocate their cost or revalued amounts, net of their residual values, over their estimated useful lives as follows:

	Useful lives
Buildings and Structures	40 years
Machinery	5 ~ 15
Vehicles	4
Others	4

The assets' depreciation method, residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognized in profit or loss.

2.11 Borrowing Costs

The Group capitalizes borrowing costs directly attributable to the acquisition, construction, or production of a qualifying asset as part of the cost of that asset. Other borrowing costs are recognized in expense as incurred. A qualifying asset is an asset that requires a substantial period of time to get ready for its intended use or sale. Financial assets and inventories that are manufactured or otherwise produced over a short period of time are not qualifying assets. Assets that are ready for their intended use or sale when acquired are not qualifying assets.

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To the extent that the Group borrows funds specifically for the purpose of obtaining a qualifying asset, the Group determines the amount of borrowing costs eligible for capitalization as the actual borrowing costs incurred on that borrowing during the period less any investment income on the temporary investment of those borrowings. To the extent that the Group borrows funds generally and uses them for the purpose of obtaining a qualifying asset, the Group shall determine the amount of borrowing costs eligible for capitalization by applying a capitalization rate to the expenditures on that asset. The capitalization rate shall be the weighted average of the borrowing costs applicable to the borrowings of the Group that are outstanding during the period, other than borrowings made specifically for the purpose of obtaining a qualifying asset. The amount of borrowing costs that the Group capitalizes during a period shall not exceed the amount of borrowing costs incurred during that period.

2.12 Government Grants

Grants from the government are recognized at their fair value where there is a reasonable assurance that the grant will be received and the Group will comply with all attached conditions. government grants related to assets are presented as a deduction when calculating the carrying amount of assets, and subsidies related to income are deferred and presented as a deduction from related expenses for the purpose of the government grants.

In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of some land, the Group is exempt from the full amount of rent because the Group meets the requirements for exemption of rent in accordance with the Common Property Management Ordinance of Incheon. The Group recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value.

2.13 Intangible Assets

Goodwill is measured as described in Note 2.3, and carried at cost less accumulated impairment losses. Intangible assets acquired in a business combination are initially measured at their fair value at the acquisition date. Intangible assets other than these are initially recognized at its historical cost, and carried at cost less accumulated amortization and accumulated impairment losses.

Intangible assets acquired in a business combination are amortized using the straight-line method over the following useful life. Amortization of intangible assets other than these is calculated on a straight-line basis over the following estimated useful lives of intangible assets from the date that they are available for use. The residual value of intangible assets is zero. However, as there are no foreseeable limits to the periods over which memberships are expected to be available for use, they are determined as having indefinite useful lives and are not amortized.

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	Useful lives
Development costs	5~12 years
Software	5
Other intangible assets	5
Land use rights	50
Trademarks	5~10
Memberships	indefinite

Useful lives and the amortization methods for intangible assets with finite useful lives are reviewed at the end of each reporting period. The useful lives of intangible assets that are not being amortized are reviewed at the end of each reporting period to determine whether events and circumstances continue to support indefinite useful life assessments for those assets. Changes are accounted for as changes in accounting estimates.

- Research & Development

Expenditure for research or research phase of internal projects is recognized as an expense when incurred. Expenditure in development stage is recognized as intangible assets when it is technically feasible to complete the assets, adequate resources to complete the development and to use or sell the assets are available, future economic benefits of intangible assets are identified, and the relevant expenditures can be reliably measured. Other expenditures for development are recognized as expenses when incurred.

- Subsequent expenditures

Subsequent expenditures are capitalized only when the future economic benefits belonging to the specific assets are increased, and other expenditures, including internally generated goodwill and brand names, are expensed immediately upon occurrence.

The judgement regarding the recognition of intangible assets is as follows.

Biosimilar products start from extracting proteins after cell line development and making them into a pharmaceutical form. If it passes the equivalence test for the original medicines, it can start clinical procedures. The final approval for sales is obtained considering the results of the clinical tests and the production ability to commercialization.

The Group determined that the intangible assets are individually identifiable and technically feasible at the time of approval for the application of the first clinical trial, when the regulatory body has confirmed the similarity verification data with the original biologic medicine. In addition, only expenses directly related to clinical trials should be capitalized as development expenses, and other expenses are recognized as expenses. Other expenses incurred in relation to the development of Biobetter and new medicines are recognized as expenses for the current period as they do not meet the requirements for capitalization.

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2.14 Impairment of Non-financial Assets

Goodwill and intangible assets that have an indefinite useful life are not subject to amortization and are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. The impairment loss is recognized as carrying amounts that exceed recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. Non-financial assets, other than goodwill, contract assets recognized based on the revenue from contracts with customers and assets arising from the costs incurred to enter into or perform the contracts, assets arising from employee benefits, biological assets, inventories, investment properties measured at fair value, and non-current assets classified to held-for-sale, that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

2.15 Trade and Other Payables

These amounts represent liabilities for goods and services provided to the Group prior to the end of reporting period which are unpaid. Trade and other payables are presented as current liabilities, unless payment is not due within 12 months after the reporting period. They are recognized initially at their fair value and subsequently measured at amortized cost using the effective interest method.

2.16 Financial Liabilities

(a) Classification and measurement

The Group's financial liabilities at fair value through profit or loss are financial instruments held for trading. A financial liability is held for trading if it is incurred principally for the purpose of repurchasing in the near term. A derivative that is not designated as a hedging instrument and an embedded derivative that is separated are also classified as held for trading.

The Group classifies non-derivative financial liabilities, except for financial liabilities at fair value through profit or loss, financial guarantee contracts and financial liabilities that arise when a transfer of financial assets does not qualify for derecognition, as financial liabilities carried at amortized cost and present as 'trade and other payables' and 'debentures and borrowings' in the statement of financial position.

(b) Derecognition

Financial liabilities are removed from the statement of financial position when it is extinguished; for example, when the obligation specified in the contract is discharged or cancelled or expired or when the terms of an existing financial liability are substantially modified. The difference between the carrying amount of a financial liability extinguished or transferred to another party and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognized in profit or loss.

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2.17 Provisions and Contingencies

Provisions are recognized when the Group has a present legal or constructive obligation as a result of past events, and it is probable that an outflow of resources will be required to settle the obligation and the amount can be reliably estimated. Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period, and the increase in the provision due to the passage of time is recognized as interest expense.

A contingent liability is disclosed when; - a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity; or - a present obligation that arises from past events but is not recognized because: it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

2.18 Greenhouse Gas Emission Permits

With enforcement of The Act on the Allocation and Trading of Greenhouse Gas Emission Permits, the allocation received from the government for free of charge are measured at zero while purchased emission permits are measured at acquisition cost and presented net of accumulated impairment loss. Emissions obligations are measured as the best estimate of expenditure required to settle the obligation at the end of the reporting period for the gas emissions in excess of the emission permits. Emission permits and emission obligations are classified as intangible assets and emission liability, respectively, in the statement of financial position.

2.19 Current and Deferred Tax

The tax expense for the period consists of current and deferred tax. Current and deferred tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity, respectively.

The current income tax expense is measured at the amount expected to be paid to the taxation authorities, using the tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation, and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Group measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Deferred income tax is provided in full on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred income tax is not accounted for if it arises from the initial recognition of an asset or liability in a

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transaction other than a business combination that at the time of the transaction affects neither accounting profit nor taxable profit or loss.

Deferred tax assets are recognized only if it is probable that future taxable amounts will be available to utilize those temporary differences and losses.

The Group recognizes a deferred tax liability all taxable temporary differences associated with investments in associates, and interests in joint arrangements, except to the extent that the Group is able to control the timing of the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. In addition, The Group recognizes a deferred tax asset for all deductible temporary differences arising from such investments to the extent that it is probable the temporary difference will reverse in the foreseeable future and taxable profit will be available against which the temporary difference can be utilized.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset when the Group has a legally enforceable right to offset and intends either to settle on a net basis, or to realize the assets and settle the liability simultaneously.

2.20 Employee Benefits

(a) Short-term employee benefits

Short-term employee benefits are employee benefits that are expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related services. When an employee has rendered service to the Group during an accounting period, the Group recognizes the undiscounted amount of short-term employee benefits expected to be paid in exchange for that service.

(b) Other long-term employee benefits

Other long-term employee benefits include employee benefits that are settled beyond 12 months after the end of the period in which the employees render the related service, and are calculated at the present value of the amount of future benefit that employees have earned in return for their services in the current and prior periods. Any changes from re-measurements are recognized through profit or loss in the period in which they arise.

(c) Post-employment benefits

The Group operates both defined contribution and defined benefit pension plans.

For defined contribution plans, the Group pays contribution to publicly or privately administered pension insurance plans on mandatory, contractual or voluntary basis. The Group has no further payment obligation once the contribution has been paid. The contribution is recognized as employee benefit expense when they are due.

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A defined benefit plan is a pension plan that is not a defined contribution plan. Generally, post-employment benefits are payable after the completion of employment, and the benefit amount depend on the employee's age, periods of service or salary levels. The liability recognized in the statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms approximating to the terms of the related obligation. Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognized in the period in which they occur, directly in other comprehensive income.

Changes in the present value of the defined benefit obligation resulting from plan amendments, curtailments or settlements are recognized immediately in profit or loss as past service costs.

2.21 Contributed Capital

Ordinary shares are classified as equity. Transaction costs directly related to the issuance of ordinary shares and share options are recognized as a deduction from equity.

2.22 Earnings per Share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period, adjusted for own shares held.

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2.23 Revenue Recognition

(a) Identification of performance obligation

- CMO (Contract Manufacturing Organization) business

The Group manufactures and supplies made-to-order biomedicine. Services mandatorily rendered prior to a production of biomedicine do not form a part of a performance obligation since they are considered as a set-up process. Only the sales of biomedicine are recognized as performance obligations.

- CDO (Contract Development Organization) business

The Group provides cell line and upstream/downstream process development services. The Group recognizes cell line and upstream/downstream process development services as distinct performance obligations.

- Development and commercialization of biosimilar products

The Group recognizes the development of biosimilar products and the sale of commercialized products to the end customers as performance obligations.

(b) Satisfaction of performance obligations

- CMO business

Goods manufactured by the Group do not have an alternative use to the Group, and it has an enforceable right to payment for performance completed to date. This is because that the Group produces biomedicine at a quality that a customer requires and is entitled to reimbursement of the costs incurred to date, including a reasonable margin if a customer terminates a contract. Therefore, the Group recognizes revenue and the associated costs over time as it satisfies its performance obligation over a contract period.

Under the practical expedient of Korean IFRS 1115, the transaction price allocated to these unsatisfied contracts is not disclosed.

- CDO business

Revenue is recognized over time during the research period of each service as a customer simultaneously receives and consumes the benefits provided by the Group as the Group performs research and development services.

- Development of biosimilar products and sales of biosimilar commercialized products

The Group's revenue is generated from commissions related to the development of biosimilar products and external sales of commercialized products. The Group recognizes revenue by identifying performance obligations from product development and manufacturing in the contract. The Group's revenue is recognized depending on whether a performance obligation is satisfied at

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a point in time or over time. Revenue is measured based on the consideration promised in a contract with a customer, and the Group recognizes revenue when control of a good or service transfers to the customer.

The Group reviewed whether definition of customer in paragraph 6 of Korean IFRS 1115 in agreement covering the development and biosimilar commercialized products.

For some contracts, in some stages of the contract (product commercialization phase), the Group determined that the partners do not meet the definition of customer because the partners participated in the production and revenue-generating process, and share the risk and benefits arising from the activities with the Group. In the meantime, for some other contracts, the Group settles the total revenues for a certain period according to the pre-specified ratio. The Group reviewed whether the partners meet the definition of customer in paragraph 6 of Korean IFRS 1115 in this agreement. The Group determined that the partners meet the definition of customer because they do not share the risk and benefits arising from the activities with the Group.

Contracts in which the counterparties do not meet the definition of a customer are not subject to Korean IFRS 1115, and there is no provision in Korean IFRS that specifically stipulates a series of transactions pursuant to such a collaboration agreement. The Group developed and applied accounting policies in accordance with paragraphs 10 to 12 of Korean IFRS 1008. As a result, the Group recognizes revenue from the transfer of control of license and revenue from the sale of commercialized products separately as follows:

- Development of biosimilar products: The Group recognizes considerations received from customers through the development of biosimilar products (including Upfront and Milestone fees) as revenue when controls of an exclusive, non-transferable license are transferred to the customers (e.g., when regulatory approval is obtained).
- Sales of commercialized products with revenue and cost sharing according to the contractual agreement: In the case of products sold under a contract in which partners participate in process of generating profits through production and sales of products, and settle the total profit or loss for a certain period by product and region at a pre-specified ratio, the Group recognized revenues when the commercialized products are sold to the end customer and the control of the goods is transferred to the end customer. In this regard, all revenues and expenses (sales, cost of sales, and marketing expenses) incurred in the process of generating profits through production of products recognized in proportion between the Group and partners at a pre-specified ratio pursuant to the agreement.
- Revenue is recognized when the product manufactured by the Group for commercialization is transferred to partners.

(c) Costs to fulfil a contract

If the costs incurred in fulfilling a contract with a customer are related directly to a contract or to an anticipated contract that the entity can specifically identify, generate or enhance resources of the entity that will be used in satisfying performance obligations in the future, and the costs are expected to be recovered, the costs are recognized as assets. And the costs to fulfil a contract are recognized as cost of revenue based on the percentage of completion.

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(d) Contract assets and contract liabilities

- CMO business

The Group recognizes the amount of the advance consideration by customers related to the transfer of technology or engineering batch production as contract liabilities and related costs as costs to fulfil a contract. Such activities are required in advance for the production of goods ordered but do not transfer goods or services to a customer. Accordingly, they are not included in a performance obligation.

- CDO business

In a CDO business, a contract asset is an entity's right to receive consideration in exchange for goods or services that the entity has transferred to a customer, and a contract liability is the entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amount is due) from the customer.

- Development of biosimilar products and sales of commercialized products

The Group recognizes unbilled amounts for R&D services for which performance obligations have been completed as contract assets. Commissions received from customers through the development of biosimilar products (including Upfront and Milestone fees) are recognized as contract liabilities.

(e) Variable consideration

If the consideration promised in a contract includes a variable amount, the Group estimates the amount of consideration to which the Group will be entitled to in exchange for transferring the promised goods or services to a customer. An amount of consideration can vary because of discounts, refunds, credits, price concessions, penalties or other similar items. The promised consideration can also vary if an entity's entitlement to the consideration is contingent on the occurrence or non-occurrence of a future event.

(f) Recognition of receivable

A receivable is recognized when the control of bio-medicine has been transferred as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

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2.24 Leases

(a) Lessor

Lease income from operating leases where the Group is a lessor is recognized in income on a straight-line basis over the lease term. Initial direct costs incurred in obtaining an operating lease are added to the carrying amount of the underlying asset and recognized as expense over the lease term on the same basis as lease income. The respective leased assets are included in the statement of financial position based on their nature.

(b) Lessee

The Group leases various offices, equipment and vehicles. Lease contracts are typically made for a fixed periods of 2 to 3 years, but may have extension options. Contracts may contain both lease and non-lease components. However, for leases of real estate for which the Group is lessee, the Group applies the practical expedient which has elected not to separate lease and non-lease components and instead accounts for these as a single lease component.

Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants, but leased assets may not be used as security for borrowing purposes.

Leases are recognized as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group.

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liability measurement also include payments to be made in the option periods if the lessee is reasonably certain to exercise the option to extend the lease.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be determined, the lessee's incremental borrowing rate is used, being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

The Group is exposed to potential future increases in variable lease payments based on an index or rate, which are not included in the lease liability until they take effect. When adjustments to lease payments based on an index or rate take effect, the lease liability is reassessed and adjusted against the right-of-use asset.

Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability

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- any lease payments made at or before the commencement date less any lease incentives received
- any initial direct costs, and
- restoration costs

The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Group is reasonably certain to exercise a purchase option, the right-of-use asset is depreciated over the underlying asset's useful life. The Group elected not to apply that revaluation model to buildings held by the Group that are presented in the right-of-use assets.

Short-term leases are leases with a lease term of 12 months or less. Low-value assets are comprised of IT-equipment and small items of office furniture. Payments associated with short-term leases and leases of low-value assets are recognized as an expense in profit or loss.

2.25 Approval of Issuance of the Financial Statements

The consolidated financial statements 2022 were approved for issue by the Board of Directors on January 27, 2023 and are subject to change with the approval of shareholders at their Annual General Meeting.

3. Significant Accounting Estimates and Assumptions

The preparation of consolidated financial statements requires the Group to make estimates and assumptions concerning the future. Management also needs to exercise judgement in applying the Group's accounting policies. Estimates and assumptions are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. As the resulting accounting estimates will, by definition, seldom equal the related actual results, it can contain a significant risk of causing a material adjustment.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. Additional information of significant judgement and assumptions of certain items are included in the relevant notes.

(a) Development costs

The Group uses management's best judgment, such as expected future cash flow and discount rate when reviewing capitalization requirements and useful lives of development costs. In addition, impairment tests for development costs are performed at the end of each reporting period, and there is uncertainty in estimating the recoverable amount including recoverability.

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(b) Income taxes

The Group's taxable income generated from these operations are subject to income taxes based on tax laws and interpretations of tax authorities in numerous jurisdictions. There are many transactions and calculations for which the ultimate tax determination is uncertain (Note 28).

If certain portion of the taxable income is not used for investments or increase in wages or dividends, the Group is liable to pay additional income tax calculated based on the tax laws. Accordingly, the measurement of current and deferred income tax is affected by the tax effects from the new tax system. As the Group's income tax is dependent on the investments, increase in wages and dividends, there is an uncertainty in measuring the final tax effects.

(c) Impairment of costs to fulfill a contract

The Group reviews whether there are any impairment indicators of costs to fulfil a contract at the end of each reporting period. The Group recognizes the impairment by comparing the revenue expected to receive for goods or service related to the costs to fulfil a contract with expected cost that are directly attributable. These calculations require estimates.

(d) Business combination

Under the Group's premise of estimations for the uncertain future performance in a business combination, the fair value of identifiable net assets and the amounts of goodwill can be changed according to future performance of the acquiree, interest rate of financial institutions, market conditions and changes in domestic and global environment (Note 2.3).

(e) Impairment of goodwill

The Group tests whether goodwill has suffered any impairment by the recoverable amount of a cash generating unit (CGU) which is determined based on value-in-use calculations.

(f) Impact of Coronavirus disease 2019 ("COVID-19") business combination

Significant accounting estimates and assumptions applied in the preparation of the consolidated financial statements can be adjusted depending on changes in the uncertainty from COVID-19. However, the ultimate effect of COVID-19 to the Group's business, financial position and performance, and liquidity cannot presently be determined.

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4. Operating Segments

The Group has disclosed operating segments in the interim consolidated financial statements in accordance with Korean IFRS 1108, and the operating segments of the Group is consisted of the CDMO (Contract Development and Manufacturing Organization) segment, and the biopharmaceutical development and commercialization segment. The management, who makes strategic decisions for the Group, determines the operating segments of the Group. The Group's management makes decisions on resources to be allocated to each division and reviews the performance of each division based on the operating profit of each division.

Information by segment as at and for the years ended December 31, 2022 and 2021, are prepared after eliminating intercompany transactions, and assets and liabilities by segments are not included as it is not regularly provided to the top management.

Information for each business for the years ended December 31, 2022 and 2021, are as follows:

(in thousands
of Korean
won)

	2022			2021	
	CDMO	Biopharmaceutical development and commercialization¹	Total	CDMO	Total
	₩				
Total sales	₩ 2,443,613,347	₩ 663,772,381	₩ 3,107,385,728	₩ 1,574,849,358	₩ 1,574,849,358
Intercompany sales	(106,090,530)	-	(106,090,530)	(6,842,430)	(6,842,430)
Net sales	2,337,522,817	663,772,381	3,001,295,198	1,568,006,928	1,568,006,928
Depreciations ²	164,651,554	8,362,090	173,013,644	144,061,397	144,061,397
Amortization of intangible assets ²	7,497,290	116,298,121	123,795,411	6,725,661	6,725,661
Operating profit ²	915,589,385	68,038,009	983,627,394	537,309,408	537,309,408

¹ The Group acquired an additional 50%-1 share of Samsung Bioepis Co., Ltd. to secure a 100% stake in the investee company and gain control on April 20, 2022. As a result, biopharmaceutical development and commercialization of Samsung Bioepis Co., Ltd. was added as a separate business segment.

² The impact of amortization on the fair value of identifiable assets due to business combinations is reflected in the biopharmaceutical development and commercialization segment.

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Details of customers, who take over 10% of the Group's total revenue for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Client A	₩ 491,758,988	₩ 300,393,631
Client B	393,735,445	75,459,865
Client C	360,788,314	133,541,027
Client D	183,728,851	150,396,090
Client E	28,634,366	180,062,394
	<u>₩ 1,458,645,964</u>	<u>₩ 839,853,007</u>

Geographic revenue for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Domestic	₩ 154,745,834	₩ 346,320,580
Europe	1,785,087,898	753,818,548
USA	853,984,373	448,619,006
Other	206,689,752	19,248,794
	<u>₩ 3,001,295,198</u>	<u>₩ 1,568,006,928</u>

The amount of non-current assets by region as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Domestic ¹	₩ 10,006,985,872	₩ 2,443,565,455
Overseas ¹	6,924,469	6,850,925
	<u>₩ 10,013,910,341</u>	<u>₩ 2,450,416,380</u>

¹ The amount excludes financial instruments and, investment in associates and joint ventures.

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5. Financial Instruments

(a) Financial assets

Categories of financial assets as at December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)

		2022	
	Financial assets at fair value through profit or loss	Financial assets measured at amortized cost	Total
Current assets			
Cash and cash equivalents	₩ -	₩ 890,819,571	₩ 890,819,571
Short-term financial instruments	-	2,168,901,000	2,168,901,000
Financial assets at fair value through profit	98,505,712	-	98,505,712
Trade and other receivables	-	684,321,895	684,321,895
Deposits provided	-	35,310,984	35,310,984
Derivatives assets ¹	13,478,488	-	13,478,488
	<u>111,984,200</u>	<u>3,779,353,450</u>	<u>3,891,337,650</u>
Non-current assets			
Long-term financial instruments	-	7,335,813	7,335,813
Trade and other receivables	-	10,635,002	10,635,002
Deposits provided	-	27,432,729	27,432,729
Derivative assets ¹	4,658,970	-	4,658,970
	<u>4,658,970</u>	<u>45,403,544</u>	<u>50,062,514</u>
₩	<u>116,643,170</u>	₩ <u>3,824,756,994</u>	₩ <u>3,941,400,164</u>

(in thousands of Korean won)

		2021	
	Financial assets at fair value through profit or loss	Financial assets measured at amortized cost	Total
Current assets			
Cash and cash equivalents	₩ -	₩ 47,410,384	₩ 47,410,384
Short-term financial instruments	-	450,000,000	450,000,000
Financial assets at fair value through profit	850,039,877	-	850,039,877
Trade and other receivables	-	350,187,893	350,187,893
Deposits provided	-	23,984,945	23,984,945
Derivative assets ¹	-	-	-
	<u>850,039,877</u>	<u>871,583,222</u>	<u>1,721,623,099</u>
Non-current assets			
Long-term financial instruments	-	189,491	189,491
Trade and other receivables	-	4,428,344	4,428,344
Deposits provided	-	22,827,408	22,827,408
Derivative assets ¹	4,091,971	-	4,091,971
	<u>4,091,971</u>	<u>27,445,243</u>	<u>31,537,214</u>
₩	<u>854,131,848</u>	₩ <u>899,028,465</u>	₩ <u>1,753,160,313</u>

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¹ Details of the derivatives from currency interest swap and interest swap into which the Group entered for foreign and Korean currency borrowings as at December 31, 2022, are as follows:

Classification	Category	Financial institution	Contracted amount	Contract date	Maturity date	Currency		Contracted exchange rate	Interest rate (%)	
						Sell	Buy		Receiving	Paying
Trading	Currency interest swap	Hana Bank	USD 30,000,000	2018-05-31	2023-05-31	USD	KRW	1,080	Libor(3M)+1.70	3.70
Trading	Currency interest swap	Hana Bank	USD 30,000,000	2020-12-17	2023-12-14	USD	KRW	1,089	Libor(3M)+1.80	2.40
Trading	Currency interest swap	Woori Bank	USD 30,000,000	2021-08-30	2024-08-30	USD	KRW	1,164	Libor(3M)+1.20	2.15

Classification	Category	Financial institution	Contracted amount (in thousands of Korean won)	Contract date	Maturity date	Interest rate (%)	
						Receiving	Paying
Trading	Interest swap	Woori Bank	50,000,000	2021-09-28	2023-10-02	CD 91 days+1.23	2.25

(b) Financial liabilities

Categories of financial liabilities as at December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)

	2022			
	Financial liabilities at fair value through profit or loss	Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities				
Trade and other payables ¹	₩ -	₩ 1,624,767,738	₩ -	₩ 1,624,767,738
Debentures	-	39,978,721	-	39,978,721
Short-term borrowings	-	582,783,298	-	582,783,298
Current portion of long-term borrowings	-	516,038,000	-	516,038,000
Lease liabilities	-	-	142,247,058	142,247,058
	-	2,763,567,757	142,247,058	2,905,814,815
Non-current liabilities				
Trade and other payables ¹	-	532,829,743	-	532,829,743
Debentures	-	499,052,332	-	499,052,332
Long-term borrowings	-	466,038,000	-	466,038,000
Derivative liabilities	22,733,991	-	-	22,733,991
Lease liabilities	-	-	267,895,530	267,895,530
	22,733,991	1,497,920,075	267,895,530	1,788,549,596
	₩ 22,733,991	₩ 4,261,487,832	₩ 410,142,588	₩ 4,694,364,411

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		2021		
		Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities				
Trade and other payables ¹	₩	342,930,338	₩ -	₩ 342,930,338
Debentures		-	-	-
Short-term borrowings		50,000,000	-	50,000,000
Current portion of long-term borrowings		109,855,000	-	109,855,000
Lease liabilities		-	7,537,132	7,537,132
		502,785,338	7,537,132	510,322,470
Non-current liabilities				
Trade and other payables ¹		2,648,496	-	2,648,496
Debentures		538,553,996	-	538,553,996
Long-term borrowings		576,130,000	-	576,130,000
Derivative liabilities		-	-	-
Lease liabilities		-	10,671,166	10,671,166
		1,117,332,492	10,671,166	1,128,003,658
	₩	1,620,117,830	₩ 18,208,298	₩ 1,638,326,128

¹ The amounts exclude the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

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(c) *The fair values of financial instruments*

The fair values of financial instruments, together with the carrying amounts shown in the statement of financial position as at December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)	2022		2021	
	Carrying amount	Fair value	Carrying amount	Fair value
Assets measured at fair value				
Financial assets at fair value through profit or loss	₩ 98,505,712	₩ 98,505,712	₩ 850,039,877	₩ 850,039,877
Derivative assets	18,137,458	18,137,458	4,091,971	4,091,971
	<u>116,643,170</u>	<u>116,643,170</u>	<u>854,131,848</u>	<u>854,131,848</u>
Assets not measured fair value				
Cash and cash equivalents	890,819,571	890,819,571	47,410,384	47,410,384
Short-term financial instruments	2,168,901,000	2,168,901,000	450,000,000	450,000,000
Long-term financial instruments	7,335,813	7,335,813	189,491	189,491
Trade and other receivables	694,956,897	694,956,897	354,616,237	354,616,237
Deposits provided	62,743,713	62,743,713	46,812,354	46,812,354
	<u>3,824,756,994</u>	<u>3,824,756,994</u>	<u>899,028,466</u>	<u>899,028,466</u>
	<u>₩ 3,941,400,164</u>	<u>₩ 3,941,400,164</u>	<u>₩ 1,753,160,314</u>	<u>₩ 1,753,160,314</u>
Liabilities carried at fair value				
Derivative liabilities	₩ 22,733,991	₩ 22,733,991	-	-
Liabilities carried at amortized cost				
Trade and other payables	2,157,597,481	2,157,597,481	345,578,834	345,578,834
Debentures	539,031,053	539,031,053	538,553,996	538,553,996
Borrowings	1,564,859,298	1,564,859,298	735,985,000	735,985,000
	<u>4,261,487,832</u>	<u>4,261,487,832</u>	<u>1,620,117,830</u>	<u>1,620,117,830</u>
	<u>₩ 4,284,221,823</u>	<u>₩ 4,284,221,823</u>	<u>₩ 1,620,117,830</u>	<u>₩ 1,620,117,830</u>

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(d) Fair value hierarchy

The following presents financial instruments measured and recognized at fair value as at December 31, 2022 and 2021:

<i>(in thousands of Korean won)</i>		2022			
		Level 1	Level 2	Level 3	Total
Financial assets					
Financial assets at fair value through profit or loss	₩	-	₩ 98,505,712	₩ -	₩ 98,505,712
Derivative assets		-	18,137,458	-	18,137,458
Financial liabilities					
Derivative liabilities		-	-	22,733,991	22,733,991

<i>(in thousands of Korean won)</i>		2021			
		Level 1	Level 2	Level 3	Total
Financial assets					
Financial assets at fair value through profit or loss	₩	-	₩ 850,039,877	₩ -	₩ 850,039,877
Derivative assets		-	4,091,971	-	4,091,971

(e) Valuation techniques and inputs

Valuation techniques and significant inputs used in measuring the fair value of financial instruments classified as level 2 and level 3 at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	Fair value		Level	Valuation techniques	Inputs
	2022	2021			
Financial assets at fair value through profit or loss	₩ 98,505,712	₩ 850,039,877	2	Market approach	-
Derivative assets (currency interest swap)	17,019,024	3,475,382	2	Discount cash flow model	Currency forward rate, interest rate, discount rate, and others
Derivative assets (interest swap)	1,118,434	616,589			Interest rate, discount rate, and others
Derivative liabilities (contingent considerations in the stock purchase)	22,733,991	-	3	Option model	discount rate, and others

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(f) *Valuation Processes for Fair Value Measurements Categorized as Level 3*

The Group's finance department operates a separate team that performs the fair value measurements required for financial reporting purposes, including level 3 fair values. Discussions of valuation process and result are held at reporting date, in line with the Group's end of each reporting periods.

(g) *Sensitivity analysis of financial instruments is performed to measure favorable and unfavorable changes in the fair value of financial instruments which are affected by the unobservable parameters, using a statistical technique. When the fair value is affected by more than two input parameters, the most favorable or most unfavorable amounts are presented.*

<i>(in thousands of Korean won)</i>	Volatility	Favorable changes	Unfavorable changes
Discount rate ¹	0.5%	₩ 715,268	₩ (722,390)

¹ The changes in the fair value of derivative liabilities was calculated by increasing or decreasing significant but unobservable inputs among the inputs that determine the fair value of the underlying assets.

(h) Net gains or losses on each category of financial instruments for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	Interest income (expenses)		Gain on valuation		Other income (expenses)¹		Net income (loss)	
	2022	2021	2022	2021	2022	2021	2022	2021
Financial assets at amortized cost	₩ 53,292,640	₩ 9,655,916	₩ -	₩ -	₩ (63,012,030)	₩ 8,836,759	₩ (9,719,390)	₩ 18,492,675
Financial assets at fair value through profit or loss	-	-	476,889	86,523	7,757,719	182,600	8,234,608	269,123
Derivative assets	-	-	7,763,431	5,356,983	(339,354)	-	7,424,077	5,356,983
Financial liabilities at amortized cost	(61,368,955)	(14,021,318)	-	-	(491,296)	9,036,852	(61,860,251)	(4,984,467)
Derivative liabilities	-	-	(2,192,006)	-	-	-	(2,192,006)	-
Other liabilities	(2,695,391)	(685,864)	-	-	-	-	(2,695,391)	(685,864)
	<u>₩(10,771,706)</u>	<u>₩(5,051,266)</u>	<u>₩ 6,048,314</u>	<u>₩ 5,443,506</u>	<u>₩ (56,084,961)</u>	<u>₩ 18,056,211</u>	<u>₩ (60,808,353)</u>	<u>₩ 18,448,450</u>

¹ Other income and expenses include gain (loss) on foreign currency translations and transactions, and gain (loss) on disposal of financial assets at fair value through profit or loss, and gain (loss) on disposal of derivative assets.

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6. Cash and Cash Equivalents

Cash and cash equivalents as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>		2022		2021
Cash equivalents	₩	890,819,571	₩	47,410,384

7. Restricted Financial Instruments

Restriction of financial instruments as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>		2022		2021	Note
Long-term financial instruments	₩	140,730	₩	7,000	Deposits on checking accounts
		7,195,083		182,491	Establishment of a pledge right
	₩	<u>7,335,813</u>	₩	<u>189,491</u>	

8. Trade and Other Receivables

Details of trade and other receivables as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>		2022		
		Gross amount	Bad debt allowances¹	Net amount
Trade receivables	₩	663,821,037	₩ (26,564,727)	₩ 637,256,310
Other receivables		84,900,345	(56,249)	84,844,096
Accrued income		<u>21,373,817</u>	-	<u>21,373,817</u>
Total ²	₩	<u>770,095,199</u>	₩ <u>(26,620,976)</u>	₩ <u>743,474,223</u>

<i>(in thousands of Korean won)</i>		2021		
		Gross amount	Bad debt allowances¹	Net amount
Trade receivables	₩	351,884,189	₩ (4,844,509)	₩ 347,039,680
Other receivables		17,985,369	(12,939)	17,972,430
Accrued income		<u>5,746,918</u>	-	<u>5,746,918</u>
Total ²	₩	<u>375,616,476</u>	₩ <u>(4,857,448)</u>	₩ <u>370,759,028</u>

¹ The Group recognized bad debt allowances by calculating the expected credit loss for lifetime

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expected collection period from the initial recognition of receivables.

² Trade and other receivables for related parties as at December 31, 2022 and 2021, are ₩ 56,579 thousand and ₩ 83,859,716 thousand, respectively (Note 31).

The aging analysis of trade and other receivables as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Receivables not past due	₩ 680,707,131	₩ 350,864,158
Past due		
Less than 1 month	41,978,496	19,281,285
Between 1 and 3 months	2,766,111	270,773
Between 3 and 6 months	1,666,227	4,113,212
Between 6 and 12 months	42,368,401	1,087,048
Over 12 months	608,833	-
	<u>₩ 770,095,199</u>	<u>₩ 375,616,476</u>

Changes in bad debt allowances for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Beginning balance	₩ 4,857,448	₩ -
Increase in loss allowance recognized in profit or loss during the period	21,763,528	4,857,448
Ending balance	<u>₩ 26,620,976</u>	<u>₩ 4,857,448</u>

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9. Contract Assets and Liabilities

Changes in contract assets and liabilities arising from contracts with customers for years ended December 31, 2022 and 2021, are as follows:

(in thousands
of Korean
won)

	2022				
	Beginning balance	Increase	Increase (decrease) due to business combination ¹	Decrease	Ending balance
Contract assets - costs to fulfil a contract	₩ 224,471,444	₩ 83,899,721	₩ (39,138,868)	₩ (51,624,061)	₩ 217,608,236
Contract assets - unbilled	28,770,500	38,902,318	-	(20,338,053)	47,334,765
Contract liabilities	285,621,829	115,820,427	110,398,580	(124,950,085)	386,890,751

¹ The amount includes internal transaction adjustments.

(in thousands of Korean
won)

	2021			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets - costs to fulfil a contract	₩ 186,708,142	₩ 59,451,876	₩ (21,688,574)	₩ 224,471,444
Contract assets - unbilled	10,048,280	23,168,881	(4,446,661)	28,770,500
Contract liabilities	197,116,872	155,654,144	(67,149,187)	285,621,829

Costs incurred in fulfilling a contract include costs for technology transfer and production of trial batches in order to manufacture products that customers request. Such activities do not include transferring goods or services to a customer but are prerequisite for the production of goods ordered. Accordingly, they do not consist a part of the performance obligation but are recognized as contract assets. Unbilled contract assets were recognized due to a difference between the extent of the Group's satisfaction of its performance obligation satisfied over time and the consideration billed to the customer. The Group recognizes Upfront and Milestone fees received from customers through the development of biosimilar products as well as advance receipt from customers as contract liabilities.

During the year ended December 31, 2022, there is no impairment loss on contract assets (2021: ₩ 725,887 thousand).

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Besides the above contract liabilities recognized, the Group classifies the amount received prior to transferring goods or services to the customer as 'advance receipts'. Changes in advance receipts for the years ended December 31, 2022 and 2021, are as follows:

(in thousands of
Korean won)

	2022				
	Beginning balance	Increase	Decrease due to business combination¹	Decrease	Ending balance
Advance receipts	₩ 385,764,478	₩ 595,414,842	₩ (44,387,522)	₩ (456,081,642)	₩ 480,710,156

¹ The amount includes intercompany transaction adjustments.

(in thousands of Korean
won)

	2021			
	Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩ 169,960,896	₩ 471,675,396	₩ (255,871,814)	₩ 385,764,478

10. Inventories

Details of inventories as at December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)

	2022		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 752,104,606	₩ (1,082,262)	₩ 751,022,344
Work-in-process	802,745,931	(17,912,880)	784,833,051
Raw materials	615,162,962	(6,519,174)	608,643,788
Supplies	235,593,730	(4,273,952)	231,319,778
	<u>₩ 2,405,607,229</u>	<u>₩ (29,788,268)</u>	<u>₩ 2,375,818,961</u>

(in thousands of Korean won)

	2021		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 237,146,020	₩ (204,638)	₩ 236,941,382
Work-in-process	279,406,584	(1,838,764)	277,567,820
Raw materials	307,652,657	(1,766,117)	305,886,540
Supplies	195,976,363	(3,501,314)	192,475,049
	<u>₩ 1,020,181,624</u>	<u>₩ (7,310,833)</u>	<u>₩ 1,012,870,791</u>

During the year ended December 31, 2022, The Group recognized ₩ 1,353,881 million (2021:

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₩ 753,405 million) of inventories as an expense, and the amount includes loss on valuation of inventory (reversal).

11. Other Financial Assets

Details of other financial assets as at December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)

	2022		2021	
	Current	Non-current	Current	Non-current
Deposits provided	₩ 35,310,984	₩ 27,432,729	₩ 23,984,945	₩ 22,827,408
Derivative assets	13,478,488	4,658,970	-	4,091,971
	<u>₩ 48,789,472</u>	<u>₩ 32,091,699</u>	<u>₩ 23,984,945</u>	<u>₩ 26,919,379</u>

12. Other Assets

Details of other assets as at December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)

	2022		2021	
	Current	Non-current	Current	Non-current
Advance payments	₩ 31,464,801	₩ -	₩ 49,087	₩ -
Prepaid expenses	23,201,432	3,524,720	8,578,713	1,226,183
	<u>₩ 54,666,233</u>	<u>₩ 3,524,720</u>	<u>₩ 8,627,800</u>	<u>₩ 1,226,183</u>

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13. Investments in Associates and Joint Ventures

Investments in associates and joint ventures as at December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)	Major business location	Primary business	Fiscal date	2022		2021	
				Book amount	Percentage of ownership	Book amount	Percentage of ownership
Samsung Bioepis Co., Ltd. ¹	Republic of Korea	Biosimilar research and commercialization	2022.12.31	₩ -	100.00%	₩2,649,367,726	50.00%
Archigen Biotech Limited ²	The United Kingdom	Bio-medicine business	2022.12.31	4,087,595	50.00%	-	50.00%
Samsung Venture Capital Union #54 ³	Republic of Korea	Equity investment in the bio industry start-ups	2022.12.31	26,687,011	33.00%	11,941,760	33.00%
				<u>₩30,774,606</u>		<u>₩2,661,309,486</u>	

¹ Samsung Bioepis Co., Ltd. was established in 2012 in a joint venture between the Group and Biogen Therapeutics Inc. for development and commercialization of biosimilar. The Group had classified Samsung Bioepis Co., Ltd. as a subsidiary until 2015 when the Group lost its control that potential voting rights held by Biogen Therapeutics Inc. were changed to substantive rights to Samsung Bioepis Co., Ltd. and related activities could not be controlled unilaterally due to the composition of the board of directors and the quorum for voting at shareholder meeting under the agreement. According to the joint venture agreement between the Group and Biogen Therapeutics Inc., Samsung Bioepis Co., Ltd. entered into a contract for intellectual property and others with Biogen Therapeutics Inc. and other companies.

Biogen Therapeutics Inc. exercised the call option to purchase shares of Samsung Bioepis Co., Ltd., on June 29, 2018. All legal procedures related to exercising the call option were completed by November 7, 2018.

The Group entered in an agreement to acquire 10,341,852 shares of Samsung Bioepis Co., Ltd. owned by Biogen Therapeutics Inc. in accordance with the resolution of Board of Directors on January 28, 2022. Accordingly, the total transaction payment amount to USD 2,300,000,000 (including USD 50,000,000 of contingent consideration). On April 20, 2022, the Group paid USD 1,000,000,000, the first installment of transaction payment, and acquired 10,341,852 shares.

Book value of investments in the joint venture prior to becoming to a subsidiary was ₩ 2,675,015,875 thousand.

² In March 2022, the Board of Directors of the Group and AstraZeneca have agreed to the liquidation of Archigen Biotech Limited, a joint venture, and the liquidation is in progress.

³ During the year ended December 31, 2021, the Group invested in Samsung Venture Capital Union #54 for equity investment in the bio industry start-ups. Also, during the years ended December 31, 2022, the Group additionally invested in Samsung Venture Capital Union #54

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amounting to ₩ 3,135 million on June 2022 and ₩ 12,375 million on August 2022.

Changes in investments in associates and joint ventures for the years ended December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)	2022					
	Beginning balance	Acquisition	Share of profit (loss)	Other changes ¹	Acquisition / Disposal due to business combination	Ending balance
Samsung Bioepis Co., Ltd. ²	₩ 2,649,367,726	₩ -	₩ 23,933,364	₩ 1,714,785	₩ (2,675,015,875)	₩ -
Archigen Biotech Limited ³	-	-	4,091,213	(3,618)	-	4,087,595
Samsung Venture Capital Union #54 ⁴	11,941,760	15,510,000	(764,749)	-	-	26,687,011
	₩ 2,661,309,486	₩ 15,510,000	₩ 27,259,828	₩ 1,711,167	₩ (2,675,015,875)	₩ 30,774,606

¹ Other changes include changes in equity of investee and changes in exchange rate.

² On April 20, 2022, the Group acquired 10,341,852 shares of Samsung Bioepis Co., Ltd. and reclassified to a subsidiary from a joint venture as it held 100% of the shares as at December 31, 2022. The above information is the change in the carrying amount of investments stocks before reclassifying to a subsidiary.

³ Investments increased by amount of the expected liquidation payment.

⁴ The Group additionally invested in Samsung Venture Capital Union #54 for equity investment in the bio industry start-ups amounting to ₩ 3,135 million on June, 2022 and ₩ 12,375 million on August 2022.

(in thousands of Korean won)	2021				
	Beginning balance	Acquisition	Share of loss	Other changes ¹	Ending balance
Samsung Bioepis Co., Ltd.	₩ 2,634,428,494	₩ -	₩ 14,286,382	₩ 652,850	₩ 2,649,367,726
Samsung Venture Capital Union #54	-	12,375,000	(433,240)	-	11,941,760
	₩ 2,634,428,494	₩ 12,375,000	₩ 13,853,142	₩ 652,850	₩ 2,661,309,486

¹ Other changes include changes in equity of investee and changes in exchange rate.

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Financial information of investees as at December 31, 2022 and 2021 and for the years ended December 31, 2022 and 2021, are summarized as follows:

(in thousands of
Korean won)

(in thousands of Korean won)	2022							
	Current assets	Non-current assets	Current liabilities	Non-current liabilities	Cash and cash equivalents	Current financial liabilities	Non-current financial liabilities	
Archigen Biotech Limited	₩ 4,222,287	₩ -	₩ -	₩ -	₩ -	₩ -	₩ -	
Samsung Venture Capital Union #54	37,462,707	44,355,495	948,472	-	37,345,080	948,472	-	

(in thousands of
Korean won)

	2022							
	Revenue	Profit (loss) for the year	Total comprehensive loss	Depreciation	Amortization	Interest income	Interest expense	Income tax expense
Archigen Biotech Limited	₩ -	₩ (113,419)	₩ (106,183)	₩ -	₩ -	₩ -	₩ 2,362	₩ -
Samsung Venture Capital Union #54	1,518,502	(2,317,423)	(2,317,423)	-	-	-	-	-

(in thousands of
Korean won)

	2021						
	Current assets	Non-current assets	Current liabilities	Non-current liabilities	Cash and cash equivalents	Current financial liabilities	Non-current financial liabilities
Samsung Bioepis Co., Ltd. ¹	₩1,718,447,611	₩1,065,523,356	₩1,498,457,232	₩329,606,162	₩107,680,612	₩1,039,874,340	₩189,692,529
Archigen Biotech Limited	4,226,961	-	3,729,570	-	4,207,308	3,729,570	-
Samsung Venture Capital Union #54	37,136,032	-	948,879	-	17,040,104	948,879	-

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¹ The amounts are based on consolidated financial information of Samsung Bioepis Co., Ltd. before adjustment of fair value of net assets.

(in thousands of Korean won)	2021							
	Revenue	Profit (loss) for the year	Total comprehensive income (loss)	Depreciation	Amortization	Interest income	Interest expense	Income tax expense
Samsung Bioepis Co., Ltd. ¹	₩ 846,977,204	₩151,992,430	₩ 153,298,130	₩ 12,913,192	₩ 52,114,883	₩ 305,934	₩ 20,245,090	₩ 22,578,305
Archigen Biotech Limited	-	2,584,456	2,488,233	2,483	-	681	3,599	249
Samsung Venture Capital Union #54	139,757	(1,312,847)	(1,312,847)	-	-	-	-	-

¹ The amounts are based on consolidated financial information of Samsung Bioepis Co., Ltd. before adjustment of fair value of net assets.

Reconciliation of the investees' financial information to the carrying value of the Group's interest in associates and joint ventures as at December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)	2022						
	Net assets	Percentage of ownership	The Group's share of net assets	Investment difference	Unrealized intercompany transactions	Others ¹	Book amount
Archigen Biotech Limited	₩ 4,222,287	50.00%	₩ 2,111,144	₩ -	₩ -	₩1,976,451	₩ 4,087,595
Samsung Venture Capital Union #54	80,869,730	33.00%	26,687,011	-	-	-	26,687,011

¹ In March 2022, the Board of Directors of the Group and AstraZeneca have agreed to the liquidation of Archigen Biotech Limited, a joint venture, and its book amount was changed according to the expected receipt of liquidation payment. Others include the difference between the Group's share of net assets and recoverable amount.

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Korean won)

	2021						
	Net assets	Percentage of ownership	The Group's share of net assets	Investment difference ¹	Unrealized intercompany transactions	Others	Book amount
Samsung Bioepis Co., Ltd.	₩955,907,574	50.00%	₩477,953,833	₩ 2,344,394,258	₩ (172,980,365)	₩ -	₩ 2,649,367,726
Archigen Biotech Limited	497,391	50.00%	248,695	-	-	(248,695)	-
Samsung Venture Capital Union #54	36,187,153	33.00%	11,941,760	-	-	-	11,941,760

¹ Investment difference includes adjustment of net assets value at the point of loss of control and a tentative amount related to irregular capital increase, and the amortization effect.

14. Property, Plant and Equipment

Property, plant and equipment as at December 31, 2022 and 2021, consist of:

(in thousands of Korean
won)

	2022			
	Acquisition cost	Accumulated depreciation	Government grants	Book amount
Land	₩ 141,064,559	₩ -	₩ -	₩ 141,064,559
Buildings	1,362,630,337	(128,856,417)	-	1,233,773,920
Structures	13,769,477	(1,995,031)	(178,146)	11,596,300
Machinery	1,810,611,186	(637,898,586)	-	1,172,712,600
Vehicles	1,371,111	(1,087,754)	-	283,357
Others	79,934,252	(48,034,917)	-	31,899,335
Construction-in-progress	825,198,766	-	-	825,198,766
	<u>₩ 4,234,579,688</u>	<u>₩ (817,872,705)</u>	<u>₩ (178,146)</u>	<u>₩ 3,416,528,837</u>

(in thousands of Korean
won)

	2021			
	Acquisition cost	Accumulated depreciation	Government grants	Book amount
Land	₩ -	₩ -	₩ -	₩ -
Buildings	821,538,244	(102,515,231)	-	719,023,013
Structures	10,980,454	(1,683,028)	-	9,297,426
Machinery	1,379,743,620	(503,177,970)	-	876,565,650
Vehicles	1,175,852	(1,012,865)	-	162,987
Others	57,276,309	(38,621,574)	-	18,654,735
Construction-in-progress	583,359,895	-	-	583,359,895
	<u>₩ 2,854,074,374</u>	<u>₩ (647,010,668)</u>	<u>₩ -</u>	<u>₩ 2,207,063,706</u>

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Changes in property, plant and equipment for the years ended December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)		2022									
	Beginning balance	Acquisition	Acquisition due to business combination	Disposal and others	Depreciation	Amortization of government grants	Others	Ending balance			
Land	₩ -	₩ 185,978	₩ 133,036,176	₩ -	₩ -	₩ -	₩ 7,842,405	₩ 141,064,559			
Buildings	719,023,013	28,188,620	165,426,077	-	(26,341,185)	-	347,477,395	1,233,773,920			
Structures	9,297,426	627,000	2,531,225	-	(312,003)	372	(547,720)	11,596,300			
Machinery	876,565,650	38,392,621	15,106,083	(1,869,184)	(136,042,691)	-	380,560,121	1,172,712,600			
Vehicles	162,987	548	-	-	(74,890)	-	194,712	283,357			
Others	18,654,735	5,076,879	4,555,508	(3,470)	(10,242,875)	-	13,858,558	31,899,335			
Construction-in-progress	583,359,895	986,826,031	6,380,130	(54,932)	-	-	(751,312,358)	825,198,766			
	₩ 2,207,063,706	₩ 1,059,297,677	₩ 327,035,199	₩ (1,927,586)	₩ (173,013,644)	₩ 372	₩ (1,926,887)	₩ 3,416,528,837			

(in thousands of Korean won)		2021						
	Beginning balance	Acquisition	Disposal and others	Depreciation	Others	Ending balance		
Buildings	₩ 700,849,377	₩ 17,327	₩ -	₩ (20,442,688)	₩ 38,598,997	₩ 719,023,013		
Structures	9,423,354	-	-	(267,102)	141,174	9,297,426		
Machinery	902,054,284	953,927	(1,392,611)	(115,161,772)	90,111,822	876,565,650		
Vehicles	206,130	-	-	(123,758)	80,615	162,987		
Others	18,564,542	2,550,588	(11,194)	(8,066,077)	5,616,876	18,654,735		
Construction-in-progress	105,469,602	597,096,422	(5,017,221)	-	(114,188,908)	583,359,895		
	₩ 1,736,567,289	₩ 600,618,264	₩ (6,421,026)	₩ (144,061,397)	₩ 20,360,576	₩ 2,207,063,706		

Classification of depreciation for the years ended December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)	2022	2021
Cost of revenue	₩ 158,981,342	₩ 139,417,380
Selling, general and administrative expenses	14,031,930	4,644,017
	₩ 173,013,272	₩ 144,061,397

During the year ended December 31, 2022, the Group has capitalized borrowing costs amounting to ₩ 18,931,698 thousand (2021: ₩ 4,258,716 thousand) on property, plant and equipment that are qualifying assets. The capitalization rate used to determine the amount of borrowing costs

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eligible for capitalization is 2.75%. (2021: 2.31%).

15. Intangible Assets

Intangible assets as at December 31, 2022 and 2021, consist of:

(in thousands of Korean won)

	2022			
	Acquisition cost	Accumulated amortization and impairment	Government grants	Book amount
Software	₩ 63,073,036	₩ (41,391,178)	₩ -	₩ 21,681,858
Others	10,068,102	(3,617,213)	-	6,450,889
Memberships	12,459,865	(521,756)	-	11,938,109
Trademarks	73,497	(11,095)	-	62,402
Land use rights	69,525,088	(16,222,521)	(53,302,568)	-
Construction-in-progress	10,918,457	-	-	10,918,457
Development cost	2,856,320,000	(114,471,745)	-	2,741,848,255
In-process R&D	1,490,798,748	-	-	1,490,798,748
Goodwill	1,677,607,967	-	-	1,677,607,967
	<u>₩ 6,190,844,760</u>	<u>₩ (176,235,508)</u>	<u>₩ (53,302,568)</u>	<u>₩ 5,961,306,685</u>

(in thousands of Korean won)

	2021			
	Acquisition cost	Accumulated amortization and impairment	Government grants	Book amount
Software	₩ 51,458,663	₩ (33,544,195)	₩ -	₩ 17,914,468
Others	3,717,137	(1,987,904)	-	1,729,233
Memberships	10,540,263	(521,756)	-	10,018,507
Trademarks	39,148	(2,388)	-	36,760
Land use rights	69,525,089	(14,832,019)	(54,693,070)	-
Construction-in-progress	2,472,650	-	-	2,472,650
Development cost	-	-	-	-
In-process R&D	-	-	-	-
Goodwill	-	-	-	-
	<u>₩ 137,752,950</u>	<u>₩ (50,888,262)</u>	<u>₩ (54,693,070)</u>	<u>₩ 32,171,618</u>

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Changes in intangible assets for the years ended December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)	2022								
	Beginning balance	Acquisition through external purchase	Acquisition through internal development	Acquisition due to business combination ¹	Disposal and others	Amortization	Amortization of government grants	Others	Ending balance
Software	₩ 17,914,467	₩ 622,474	₩ -	₩ 1,371,690	₩ (160,824)	₩ (7,685,651)	₩ -	₩ 9,619,702	₩ 21,681,858
Others	1,729,234	334,700	-	4,196,607	(2)	(1,629,307)	-	1,819,657	6,450,889
Memberships	10,018,507	-	-	1,919,602	-	-	-	-	11,938,109
Trademarks	36,760	200	-	4,247	-	(8,707)	-	29,902	62,402
Land use rights	-	-	-	-	-	(1,390,502)	1,390,502	-	-
Construction- in-progress	2,472,650	18,068,650	-	374,820	(563,251)	-	-	(9,434,412)	10,918,457
Development cost ¹	-	-	-	2,856,320,000	-	(114,471,745)	-	-	2,741,848,255
In-process R&D ¹	-	-	68,658,748	1,422,140,000	-	-	-	-	1,490,798,748
Goodwill ¹	-	-	-	1,677,607,967	-	-	-	-	1,677,607,967
	<u>₩ 32,171,618</u>	<u>₩ 19,026,024</u>	<u>₩ 68,658,748</u>	<u>₩ 5,963,934,933</u>	<u>₩ (724,077)</u>	<u>₩ (125,185,912)</u>	<u>₩ 1,390,502</u>	<u>₩ 2,034,849</u>	<u>₩5,961,306,685</u>

¹ The fair value of identifiable intangible assets in a business combination is provisionally determined and may be adjusted according to the final valuation result.

(in thousands of Korean won)	2021						
	Beginning balance	Acquisition through external purchase	Disposal and others	Amortization	Amortization of government grants	Others	Ending balance
Software	₩ 14,839,370	₩ -	₩ (278,892)	₩ (6,130,568)	₩ -	₩ 9,484,558	₩ 17,914,468
Others	2,311,655	-	-	(592,705)	-	10,283	1,729,233
Memberships	3,721,632	6,296,875	-	-	-	-	10,018,507
Trademarks	-	-	-	(2,388)	-	39,148	36,760
Land use rights	-	-	-	(1,390,502)	1,390,502	-	-
Construction-in- progress	<u>2,471,949</u>	<u>10,264,973</u>	<u>(816,622)</u>	<u>-</u>	<u>-</u>	<u>(9,447,650)</u>	<u>2,472,650</u>
	<u>₩ 23,344,606</u>	<u>₩ 16,561,848</u>	<u>₩ (1,095,514)</u>	<u>₩ (8,116,163)</u>	<u>₩ 1,390,502</u>	<u>₩ 86,339</u>	<u>₩ 32,171,618</u>

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Classification of amortization for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Cost of revenue	₩ 116,090,198	₩ 2,147,939
Selling, general and administrative expenses	7,705,212	4,577,722
	<u>₩ 123,795,410</u>	<u>₩ 6,725,661</u>

During the years period ended December 31, 2022, total research and development expenses recognized as expense amounted to ₩ 160,355 million.

During the years periods ended December 31, 2022, the Group has capitalized borrowing costs amounting to ₩ 6,559,744 thousand on intangible assets that are qualifying assets. The capitalization rate used to determine the amount of borrowing costs eligible for capitalization is 3.45% (2021: -).

Details of significant individual intangible assets as at December 31, 2022, are as follows:

(a) Project overview and sales approval time

Name of Project	Referencing Biologic	INN	Purpose	Approval date¹
SB2	Remicade®	Infliximab	Treatments for Rheumatoid Arthritis and others	December, 2015
SB3	Herceptin®	Trastuzumab	Treatments for Breast Cancer	November, 2017
SB4	Enbrel®	Etanercept	Treatments for Rheumatoid Arthritis and others	September, 2015
SB5	Humira®	Adalimumab	Treatments for Rheumatoid Arthritis	August, 2017
SB8	Avastin®	Bevacizumab	Treatments for Colorectal Cancer	August, 2020
SB11	Lucentis®	Ranibizumab	Treatments for Ophthalmologic disease	August, 2021
SB12	Soliris®	Eculizumab	Treatments for Paroxysmal Nocturnal Hemoglobinuria, etc.	-
SB15	Eylia®	Aflibercept	Treatments for Macular Degeneration	-
SB16	Prolia®	Denosumab	Treatments for Osteoporosis	-
SB17	Stelara®	Ustekinumab	Treatments for Psoriasis	-

¹ The initial sales approval time among the approval time of each country's regulatory authorities

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(b) *Products under development and completed development and remaining useful life*

(in thousands of
Korean won)

Stage	Development cost						
	Pre-clinical	1st/3rd trial ¹	After government approval	Total	Accumulated impairment loss	Accumulated amortization	Book amount
Biosimilar							
Developing	₩ -	₩1,490,798,748	₩ -	₩1,490,798,748	₩ -	₩ -	₩1,490,798,748
Completed development ²	-	2,856,320,000	-	2,856,320,000	-	₩114,471,745	₩2,741,848,255
	₩ -	₩4,347,118,748	₩ -	₩4,347,118,748	₩ -	₩114,471,745	₩4,232,647,003

¹ Due to the nature of biosimilars, phase 2 clinical trials are not proceeding. Since the Group is conducting phase 1 and 3 clinical trials simultaneously, the development cost is aggregated.

² The remaining useful life of developed biosimilars ranges from 6 years 4 months to 11 years 4 months.

Details of goodwill by reportable segment as at December 31, 2022 and 2021, is as follows:

(in thousands of Korean won) **2022** **2021**

Biopharmaceutical development and commercialization ¹	₩ 1,677,607,967	₩ -
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¹ On April 20, 2022, the Group acquired 10,341,852 shares of Samsung Bioepis Co., Ltd. And reclassified from a joint venture to a subsidiary by holding 100% of the shares. The amount of goodwill includes deferred tax effect of ₩ 987,923,843 thousand on the adjusted fair value of identifiable tangible and intangible assets. Goodwill was recognized at provisional amount, and may be adjusted according to the final evaluation result.

The carrying amount of ₩ 5,910,254,970 thousand as at December 31, 2022 including development costs, in-process R&D and goodwill are related to biosimilars being developed by the Group.

Impairment tests for intangible assets

The Group annually performs impairment tests on the intangible assets with indefinite useful life such as goodwill and others.

The recoverable amount of in-process R&D is calculated for each individual asset, and for goodwill, the recoverable amount of the cash-generating units (group) in the biopharmaceutical development and commercialization segment was calculated. These calculations use pre-tax cash flow projections based on financial budgets covering a ten-year period. The key assumptions used to calculate the recoverable amount of major cash-generating units as of December 31, 2022 are perpetual growth rate of 3%, and a discount rate of 15% for in-process R&D and 13% for goodwill, respectively.

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As a result of impairment test of intangible assets related to in-process R&D, there is no impairment loss recognized for the year ended December 31, 2022 as the carrying amount does not exceed the recoverable amount.

On the other hand, the recoverable amount of the Group's cash-generating unit changes according to the assumptions about the Group's major assumptions used in the impairment test of goodwill. The effect of changes in assumptions on the excess of recoverable amount against carrying amount of cash-generating units is as follows:

<i>(in billions of Korean won)</i>	Discount rate	
	Increase 0.5%	Decrease 0.5%
Changes in excess of recoverable value relative to the carrying amount of cash-generating unit	₩ (422.8)	₩ 469.2

In the sensitivity analysis, a 0.5% increase in the discount rate has no effect of impairment.

16. Debenture and Borrowings

Debentures and borrowings as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022		2021	
	Current	Non-current	Current	Non-current
Debentures	₩ 39,978,721	₩ 499,052,332	₩ -	₩ 538,553,996
Short-term borrowings	582,783,298	-	50,000,000	-
Long-term borrowings	516,038,000	466,038,000	109,855,000	576,130,000
	<u>₩ 1,138,800,019</u>	<u>₩ 965,090,332</u>	<u>₩ 159,855,000</u>	<u>₩ 1,114,683,996</u>

Details of debentures as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	Issuance date	Maturity date	Interest rate (%)	2022	2021
The 6-2nd private placement debenture(non-guaranteed)	2018-04-27	2023-04-27	3.53	₩ 40,000,000	₩ 40,000,000
The 7-1st public offering of debenture(non-guaranteed)	2021-09-03	2024-09-03	1.89	380,000,000	380,000,000
The 7-2nd public offering of debenture(non-guaranteed)	2021-09-03	2026-09-03	2.19	120,000,000	120,000,000
Discount on debentures				<u>(968,947)</u>	<u>(1,446,004)</u>
				539,031,053	538,553,996
Current portion				<u>(39,978,721)</u>	<u>-</u>
				<u>₩ 499,052,332</u>	<u>₩ 538,553,996</u>

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Details of short-term borrowings as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	Interest rate (%)	2022	2021
Short-term borrowings in Korean won			
Kookmin Bank and 7 others	4.45~6.43	₩ 542,000,000	₩ 50,000,000
Short-term borrowings in foreign currency			
Sumitomo Mitsui Bank	5.27~6.47	40,783,298	-
		<u>₩ 582,783,298</u>	<u>₩ 50,000,000</u>

Details of long-term borrowings as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	Interest rate (%)	2022	2021
Long-term borrowings in Korean won			
Hana Bank and 8 others	1.50~5.93	₩ 830,000,000	₩ 603,000,000
Current portion		<u>(440,000,000)</u>	<u>(98,000,000)</u>
		<u>390,000,000</u>	<u>505,000,000</u>
Long-term borrowings in foreign currency			
Woori Bank and 2 others	5.49~6.54	152,076,000	82,985,000
Current portion		<u>(76,038,000)</u>	<u>(11,855,000)</u>
		<u>76,038,000</u>	<u>71,130,000</u>
		<u>₩ 466,038,000</u>	<u>₩ 576,130,000</u>

The repayment schedule of debentures and borrowings as at December 31, 2022, are as follows:

<i>(in thousands of Korean won)</i>	Debentures	Short-term borrowings	Long-term borrowings	Total
2023.01.01 ~ 2023.12.31	₩ 40,000,000	₩ 582,783,298	₩ 516,038,000	₩ 1,138,821,298
2024.01.01 ~ 2024.12.31	380,000,000	-	353,019,000	733,019,000
2025.01.01 ~ 2025.12.31	-	-	113,019,000	113,019,000
2026.01.01 ~	120,000,000	-	-	120,000,000
	<u>₩ 540,000,000</u>	<u>₩ 582,783,298</u>	<u>₩ 982,076,000</u>	<u>₩ 2,104,859,298</u>

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17. Trade and Other Payables

Details of trade and other payables as at December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)	2022		2021	
	Current	Non-current	Current	Non-current
Trade payables	₩ 59,616,055	₩ -	₩ 32,250,587	₩ -
Other payables	1,494,546,686	531,505,495	292,457,982	-
Accrued expenses	207,437,329	19,861,374	74,321,525	9,152,703
Total ¹	₩ 1,761,600,070	₩ 551,366,869	₩ 399,030,094	₩ 9,152,703

¹ Trade and other payables to related parties as at December 31, 2022 and 2021, are ₩ 176,121,712 thousand and ₩ 234,504,395 thousand, respectively (Note 31).

18. Emission Liability

(a) Emissions rights

The Group has been participating in Emission Trading Scheme in accordance with the Act on Allocation and Trading of Greenhouse Gas Emission since 2017. The quantity of emission rights for the 3rd planning periods (2021 ~ 2025) granted free of charge is as follows:

(in tCO ₂ -eq)	2021¹	2022	2023	2024	2025	Total
Allocation with nil consideration	123,815	122,393	122,393	121,247	121,247	611,095

¹ In 2022, the Group allocated additional 1,422 units of emission rights of 2021 for the Plant 4 site.

There are no emission rights provided as collateral as at December 31, 2022.

Changes in emission permits quantities and the carrying amounts for the years ended December 31, 2022 and 2021, are as follows:

(in thousands of Korean won and in tCO₂-eq)

	2022					
	2021		2022		2023~2025	
	Quantity	Amount	Quantity	Amount	Quantity	Amount
At January 1/Allocation with nil consideration	123,815	₩ -	122,393	₩ -	364,887	₩ -
Purchase/Disposal	7,052	126,231	-	-	-	-
Borrowing/Carrying forward	-	-	-	-	-	-
Surrendered to the government	(130,867)	(126,231)	-	-	-	-
At December 31 ¹	-	₩ -	122,393	₩ -	364,887	₩ -

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¹ The quantities of emission permits of emission permits at the end of 2022 will be submitted to the government after certification in 2023.

(in thousands of Korean won)

	2021					
	2021		2022		2023~2025	
	Quantity	Amount	Quantity	Amount	Quantity	Amount
At January 1/Allocation with nil consideration	122,393	₩ -	122,393	₩ -	364,887	₩ -
Purchase/Disposal	-	-	-	-	-	-
Borrowing/Carrying forward	-	-	-	-	-	-
Surrendered to the government	-	-	-	-	-	-
At December 31	<u>122,393</u>	<u>₩ -</u>	<u>122,393</u>	<u>₩ -</u>	<u>364,887</u>	<u>₩ -</u>

(b) Emission liability

Changes in emission liability for the years ended December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)

	2022			
	Beginning balance	Increase	Decrease	Ending balance
Emission liability	₩ 725,693	₩ 538,848	₩ (725,693)	₩ 538,848

(in thousands of Korean won)

	2021			
	Beginning balance	Increase	Decrease	Ending balance
Emission liability	₩ 427,060	₩ 725,693	₩ (427,060)	₩ 725,693

The Group estimated that it emitted 156,071 tons of carbon dioxide during the year ended December 31, 2022.

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19. Lease

The amounts relating to leases recognized as at December 31, 2022 and 2021 on the consolidated statement of financial position, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Right-of-use assets¹		
Land	₩ 431,374,528	₩ 3,384,341
Buildings	22,739,752	16,902,399
Machinery	93,673	78,933
Vehicles	715,543	258,101
	<u>₩ 454,923,496</u>	<u>₩ 20,623,774</u>
Lease liabilities		
Current	₩ 142,247,058	₩ 7,537,132
Non-current	267,895,530	10,671,166
	<u>₩ 410,142,588</u>	<u>₩ 18,208,298</u>

¹ Additions to the right-of-use assets during the years ended December 31, 2022 and 2021, were ₩ 444,350,769 thousand and ₩ 7,206,634 thousand, respectively. Additions to the right-of-use assets by the business combination during the years ended December 31, 2022 was ₩ 1,279,034 thousand.

² The Group entered into the land purchase agreement with Incheon Free Economic Zone(IFEZ) for the second Bio Campus on July 18, 2022. Although the legal ownerships has not yet been transferred, the purchase price of the land has been recognized for the right-of-use assets and lease liabilities, respectively, as approval for use for the designated purpose has been obtained. The initial amount recognized for right-of-use assets was ₩ 430,758 million and the amount for lease liabilities was ₩ 383,480 million.

The amounts relating to leases recognized for the year ended December 31, 2022 and 2021, on the consolidated statement of comprehensive, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Statement of profit or loss:		
Depreciation of right-of-use assets	₩ 11,455,639	₩ 11,001,591
Land	2,672,657	4,029,849
Buildings	7,608,326	6,271,036
Machinery	111,096	101,684
Vehicle	1,063,560	599,022

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Interest expenses	2,695,391	685,864
Expense relating to short-term leases	5,170	-
Expense relating to variable lease payments not included in lease liabilities	5,806,778	2,390,621
Expense relating to leases of low-value assets	1,152,137	899,702
	<u>₩ 21,115,115</u>	<u>₩ 14,977,778</u>

Classification of depreciation of right-of-use assets for the years ended December 31, 2022 and 2021, is as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Cost of revenue	₩ 6,488,551	₩ 5,745,728
Selling, general and administrative expenses	4,967,088	5,255,863
	<u>₩ 11,455,639</u>	<u>₩ 11,001,591</u>

The total cash outflow from leases in relation to lease liabilities, low-value assets and variable lease payments during the years ended December 31, 2022 and 2021, was ₩ 64,368,741 thousand and ₩ 15,544,282 thousand, respectively.

20. Other Liabilities

Details of other liabilities as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022		2021	
	Current	Non-current	Current	Non-current
Advance receipts	₩ 404,338,805	₩ 76,371,351	₩ 356,428,589	₩ 29,335,889
Withholdings	9,507,429	-	7,980,611	-
Unearned revenue	432,680,477	-	-	-
	<u>₩ 846,526,711</u>	<u>₩ 76,371,351</u>	<u>₩ 364,409,200</u>	<u>₩ 29,335,889</u>

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21. Employee Benefit

Recognized assets and liabilities for employee benefits as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>		2022		2021	
Net defined benefit liabilities (asset)	Present value of defined benefit obligations	₩	146,731,850	₩	98,068,727
	Fair value of plan assets		(176,378,081)		(101,641,107)
			(29,646,231)		(3,572,380)
Trade and other payables	Accrued expenses ¹		136,832,333		56,099,755
	Long-term accrued expenses ¹		18,317,379		5,597,944
			155,149,712		61,697,699
		₩	125,503,481	₩	58,125,319

¹ The amounts include the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

Changes in net defined benefit liabilities (asset) for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	Defined benefit obligations		Plan assets		Net defined benefit liabilities (asset)	
	2022	2021	2022	2021	2022	2021
Beginning balance	₩98,068,727	₩80,393,148	₩ (101,641,107)	₩ (92,293,291)	₩ (3,572,380)	₩ (11,900,143)
Additions due to business combination	37,943,275	-	(32,589,681)	-	5,353,594	-
Included in profit or loss:						
- Current service cost	29,801,902	20,425,113	-	-	29,801,902	20,425,113
- Interest expense (income)	4,530,564	2,640,341	(4,531,098)	(3,077,987)	(534)	(437,646)
	34,332,466	23,065,454	(4,531,098)	(3,077,987)	29,801,368	19,987,467
Included in other comprehensive income or loss:						
- Remeasurement loss (gain)						
Actuarial loss (gain) arising from	(9,348,243)	1,316,458	-	-	(9,348,243)	1,316,458
Demographic assumptions	122,138	-	-	-	122,138	-
Financial assumptions	(23,173,927)	(4,468,920)	-	-	(23,173,927)	(4,468,920)
Experience adjustment	13,703,546	5,785,378	-	-	13,703,546	5,785,378

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	Defined benefit obligations		Plan assets		Net defined benefit liabilities (asset)	
	2022	2021	2022	2021	2022	2021
- Loss on plan assets excluding interest income	-	-	2,541,310	2,153,256	2,541,310	2,153,256
	(9,348,243)	1,316,458	2,541,310	2,153,256	(6,806,933)	3,469,714
Others:						
- Contributions to plan assets	-	-	(52,223,887)	(11,240,520)	(52,223,887)	(11,240,520)
- Benefit payments	(14,445,382)	(7,253,830)	11,891,873	3,274,932	(2,553,509)	(3,978,898)
- Transfer from affiliated companies	576,889	713,496	(221,373)	(623,496)	355,516	90,000
- Other payments	(395,882)	(165,999)	395,882	165,999	-	-
	(14,264,375)	(6,706,333)	(40,157,505)	(8,423,085)	(54,421,880)	(15,129,418)
Ending balance	₩146,731,850	₩98,068,727	₩ (176,378,081)	₩ (101,641,107)	₩ (29,646,231)	₩ (3,572,380)

Details of plan assets as at December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)

	2022	2021
Cash and cash equivalents	₩ 176,375,273	₩ 101,641,107
Others (national pension fund payment)	2,808	-
	₩ 176,378,081	₩ 101,641,107

The allocations of total expenses related to defined benefit obligation for the years ended December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)

	2022	2021
Cost of sales	₩ 19,232,927	₩ 15,637,476
Selling, general and administrative expenses	9,094,176	3,847,200
Construction-in-progress	1,474,265	502,791
	₩ 29,801,368	₩ 19,987,467

The expense recognized in the current period in relation to defined contribution plan was ₩ 27 million.

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The significant actuarial assumptions as at December 31, 2022 and 2021, are as follows:

<i>(in percentage, %)</i>	2022		2021	
Discount rate	5.15 ~ 6.28	%	3.95	%
Future salary increases	5.00 ~ 5.26	%	5.01	%

As at December 31, 2022 and 2021, the weighted average duration of the defined benefit obligation is 6.91 years and 9.15 years, respectively.

As at December 31, 2022, effects on the present value of defined benefit obligations if each of significant actuarial assumptions changes within potential reasonable range are as follows (if changed by 1%):

<i>(in thousands of Korean won)</i>	Salary increases		Discount rate	
	1% Up	1% Down	1% Up	1% Down
Present value of defined benefit obligations	₩ 11,228,113	₩ (9,915,677)	₩ (9,443,791)	₩10,839,446

22. Share Capital and Reserves

Details of share capital as at December 31, 2022 and 2021, are summarized as follows:

<i>(in Korean won, in shares)</i>	2022		2021	
Number of shares authorized	500,000,000		500,000,000	
Par value	₩	2,500	₩	2,500
Number of shares issued	71,174,000		66,165,000	
Share capital	₩	177,935,000,000	₩	165,412,500,000

Change in the number of shares issued and outstanding shares for the years ended December 31, 2022 and the year ended December 31, 2021, are as follows:

<i>(in shares)</i>	2022		2021	
	Number of shares issued	Number of outstanding shares	Number of shares issued	Number of outstanding shares
Beginning balance	66,165,000	66,165,000	66,165,000	66,165,000
Capital increase	5,009,000	5,009,000	-	-
Ending balance	71,174,000	71,174,000	66,165,000	66,165,000

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Details of share premium as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Additional paid-in capital	₩ 6,523,003,969	₩ 2,496,626,851
Other share premium	(859,892,617)	(9,313,769)
	<u>₩ 5,663,111,352</u>	<u>₩ 2,487,313,082</u>

Details of accumulated other comprehensive loss as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Remeasurements of net defined benefit liabilities	₩ (7,853,179)	₩ (12,943,780)
Foreign currency translation	687,984	(44,181)
Share of other comprehensive income of associates and joint ventures	4,991,802	4,177,323
	<u>₩ (2,173,393)</u>	<u>₩ (8,810,638)</u>

23. Revenue and Cost of Revenue

Details of revenue and cost of revenue for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Revenue:		
Product sales	₩ 2,788,706,883	₩ 1,441,997,362
Other sales	212,588,315	126,009,566
	<u>₩ 3,001,295,198</u>	<u>₩ 1,568,006,928</u>
Cost of revenue:		
Cost of product sales	₩ 1,214,581,689	₩ 694,059,705
Cost of other sales ¹	318,265,476	147,495,858
	<u>₩ 1,532,847,165</u>	<u>₩ 841,555,563</u>

¹ Cost of other sales includes loss on abnormal capacity and loss on valuation of inventories.

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24. Selling, General and Administrative Expenses

Details of selling, general and administrative expenses for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022		2021	
Salaries	₩	80,002,726	₩	33,219,482
Bonuses		51,464,661		16,881,572
Retirement benefits		8,945,538		3,772,936
Employee welfare		30,552,746		13,701,207
Depreciation		13,247,218		4,221,906
Amortization of intangible assets		7,700,472		4,572,059
Repairs and maintenance		7,678,623		3,101,660
Supplies expenses		5,497,695		2,356,578
Utility expenses		1,939,548		272,333
Service fees		86,588,557		64,319,554
Training expenses		13,975,812		8,946,530
Electronic processing expenses		15,131,068		3,477,194
Taxes and dues		7,448,007		1,804,168
Insurance premium		8,267,877		5,240,337
Advertising expenses		8,828,893		5,349,284
Bad debt expenses		22,406,813		4,857,448
Outsourcing cost		1,297,994		-
Marketing expenses ¹		41,744,852		-
Research and development expenses		45,883,747		954,219
Others		26,217,791		12,093,490
	₩	<u>484,820,638</u>	₩	<u>189,141,957</u>

¹ It is expense the Group incurred or will incur among the marketing expenses paid by the collaborating parties under the development and commercial agreement.

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25. Expenses by Nature

Details of expenses classified by nature for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Changes in work-in-process and finished goods	₩ (41,763,456)	₩ (224,694,893)
Changes in costs to fulfill a contract	6,863,208	(37,763,302)
Raw materials and supplies used	553,425,203	426,584,773
Employee benefits	557,251,055	372,799,534
Depreciation and amortization	296,808,682	150,787,059
Supplies expenses	108,152,002	82,847,959
Utility expenses	52,441,943	34,215,785
Marketing expenses	41,744,852	-
Service fees	191,172,188	97,837,181
Others	251,572,126	128,083,424
Total cost of sales, and selling, general and administrative expenses	₩ 2,017,667,803	₩ 1,030,697,520

26. Other Income and Expenses

Details of other income for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Rental revenues	₩ 195,475	₩ 259,984
Fees revenues	7,015	12,276
Gain on disposal of property, plant and equipment	48,498	36,828
Gain on disposal of investments in joint ventures	64,417,937	-
Gain on lease cancellation	688,046	416
Miscellaneous gains	336,468	104,761
	₩ 65,693,439	₩ 414,265

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Details of other expenses for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Donations	₩ 2,516,592	₩ 1,052,934
Loss on disposal of property, plant and equipment	383,896	3,458
Loss on disposal of intangible assets	2	-
Loss on retirement of property, plant and equipment	1,528,178	6,403,663
Loss on retirement of intangible assets	724,076	1,095,514
Miscellaneous losses	1,594,990	187,099
	<u>₩ 6,747,734</u>	<u>₩ 8,742,668</u>

27. Finance Income and Costs

Details of finance income for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Interest income	₩ 53,292,640	₩ 9,655,916
Gain on valuation of financial assets at fair value through profit or loss	476,889	86,523
Gain on disposal of financial assets at fair value through profit or loss	7,757,719	182,600
Gain on valuation of derivative assets	7,697,777	5,356,983
Gain on foreign currency translations	7,686,931	7,743,465
Gain on foreign currency transactions	135,547,943	24,563,963
	<u>₩ 212,459,899</u>	<u>₩ 47,589,450</u>

Details of finance costs for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Interest expenses	₩ 64,064,346	₩ 14,707,182
Loss on valuation of derivative liabilities	2,126,352	-
Loss on disposal of derivative assets	339,354	-
Loss on foreign currency translations	102,601,677	5,389,217
Loss on foreign currency transactions	104,136,523	9,044,600
	<u>₩ 273,268,252</u>	<u>₩ 29,140,999</u>

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28. Income Tax Expense

Income tax expense for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Current income tax expense:		
Current income tax	₩ 292,950,438	₩ 130,918,722
Adjustments	2,429,332	(1,642,839)
Deferred tax expense:		
Temporary differences	(60,741,107)	37,864,202
Changes of temporary differences in the scope of consolidation	(22,519,073)	-
Income taxes recognized directly in equity	(1,151,226)	553,044
Income tax expense	<u>₩ 210,968,364</u>	<u>₩ 167,693,129</u>

The relationship between tax expense and accounting profit for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Profit before income tax	₩ 1,009,024,574	₩ 561,282,597
Income taxes at statutory tax rate	267,119,758	143,994,425
Adjustments:		
Non-deductible expense	1,144,394	350,736
Tax credit	(68,276,089)	(11,772,031)
Effect of change in average tax rate	(34,050,933)	36,364,457
Temporary differences due to changes in net assets of investments in subsidiaries	41,124,709	-
Others	3,906,525	(1,244,457)
Income tax expense	<u>₩ 210,968,364</u>	<u>₩ 167,693,130</u>
Average effective tax rate	20.91%	29.88%

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Income taxes recognized directly in other comprehensive income (loss) for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022			2021		
	Before tax	Tax expense	Net of tax	Before tax	Tax expense	Net of tax
Net defined benefit plan remeasurements	₩ 6,129,705	₩(1,039,105)	₩ 5,090,600	₩(3,469,714)	₩ 723,438	₩ (2,746,277)
Equity adjustments arising from investments in associates and joint ventures	1,711,167	(538,659)	1,172,508	652,850	(170,394)	482,456
Changes in net assets of subsidiaries	-	426,538	426,538	-	-	-
	<u>₩ 7,840,872</u>	<u>₩(1,151,226)</u>	<u>₩ 6,689,646</u>	<u>₩(2,816,866)</u>	<u>₩ 553,044</u>	<u>₩ (2,263,821)</u>

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Changes in deferred tax assets (liabilities) as at December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)

	2022									
	December 31, 2022									
	January 1, 2022	Profit or loss	Other comprehensive income	Changes in the scope of consolidation	Adjustments for exchange rate differences	Adjustment	Business combination	Net	Deferred tax assets	Deferred tax liabilities
Accrued expenses	₩ 10,871,708	₩ 2,408,171	₩ -	₩ 6,562,762	₩ 14,000	₩ -	₩ -	₩ 19,856,641	₩ 19,856,641	₩ -
Net defined benefit obligations	(932,391)	(7,148,856)	(1,039,105)	1,521,655	-	-	-	(7,598,697)	-	(7,598,697)
Loss (gain) on foreign currency translations	(226,484)	23,938,704	-	-	-	-	-	23,712,220	23,712,220	-
Provision for loss on valuation of finished goods	53,410	317,998	-	-	-	-	-	371,408	371,408	-
Provision for loss on valuation of work-in-progress	479,917	4,168,744	-	-	-	-	-	4,648,661	4,648,661	-
Provision for retirement of inventories	1,582,689	34,396,460	-	97,428,975	-	-	-	133,408,124	133,408,124	-
Bad debt expenses	290,231	5,237,100	-	-	-	-	-	5,527,331	5,527,331	-
Depreciation	(2,675,842)	(2,441,138)	-	-	(62,778)	-	-	(5,179,758)	-	(5,179,758)
Provision for performance bonus	10,380,423	14,155,150	-	-	-	-	-	24,535,573	24,535,573	-
Gain from assets contributed	751,696	(11,520)	-	-	-	-	-	740,176	740,176	-
Accrued income	(291,840)	(3,952,380)	-	(237)	-	-	-	(4,244,457)	-	(4,244,457)
Emission liability	189,405	(50,921)	-	-	-	-	-	138,484	138,484	-
Contract assets	(66,096,147)	(12,119,130)	-	-	-	-	-	(78,215,277)	-	(78,215,277)
Contract liabilities	74,547,297	(99,013)	-	-	-	-	-	74,448,284	74,448,284	-
Lease liabilities / Right-of-use assets	(569,996)	(10,615,256)	-	274,803	(3,074)	-	-	(10,913,523)	-	(10,913,523)
Intangible assets	96,663	434,467	-	(632,800)	(5,567)	51,485,401	(960,454,205)	(909,076,041)	-	(909,076,041)
Gains on valuation of derivative assets	(1,068,004)	(1,954,848)	-	-	-	-	-	(3,022,852)	-	(3,022,852)
Derivatives valuation options	-	563,346	-	-	-	-	-	563,346	563,346	-
Donations	-	7,145	-	-	-	-	-	7,145	7,145	-
Property, plant and equipment	-	585,634	-	122,776	-	735,097	(27,469,638)	(26,026,131)	-	(26,026,131)
Unearned revenues	-	(955,064)	-	37,794,440	-	-	-	36,839,376	36,839,376	-
Advance payments	-	2,595,013	-	(14,125,646)	-	-	-	(11,530,633)	-	(11,530,633)
Investments in associates and joint ventures	(519,730,169)	(15,497,083)	(538,659)	-	-	-	-	(535,765,911)	-	(535,765,911)
Tax loss carryforward	619,470	(298,582)	-	-	48,259	-	-	369,147	369,147	-
Tax credit carryforward	4,016,321	28,145,058	-	49,305,218	-	-	-	81,466,597	81,466,597	-
Other	-	83,134	426,538	(83,136)	-	(29,701,424)	-	(29,274,888)	-	(29,274,888)
Deferred tax assets (liabilities)	₩(487,711,643)	₩61,892,333	₩ (1,151,226)	₩ 178,168,810	₩ (9,160)	₩ 22,519,074	₩(987,923,843)	₩ (1,214,215,655)	₩ 406,632,513	₩ (1,620,848,168)

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(in thousands of Korean won)	2021												
					Other comprehensive income	Adjustments for exchange rate differences	December 31, 2021						
	January 1, 2021		Profit or loss				Net	Deferred tax assets		Deferred tax liabilities			
Accrued expenses	₩	7,393,560	₩	3,470,935	₩	-	₩	7,213	₩	10,871,708	₩	10,871,708	₩
Net defined benefit obligations		(3,296,502)		1,640,673		723,438		-		(932,391)		-	(932,391)
Loss (gain) on foreign currency translations		1,457,905		(1,684,389)		-		-		(226,484)		-	(226,484)
Provision for loss on valuation of finished goods		345,230		(291,820)		-		-		53,410		53,410	-
Provision for loss on valuation of work-in-progress		140,519		339,398		-		-		479,917		479,917	-
Provision for retirement of inventories		-		1,582,689		-		-		1,582,689		1,582,689	-
Bad debt expenses		-		290,231		-		-		290,231		290,231	-
Depreciation		1,020,569		(3,647,263)		-		(49,148)		(2,675,842)		-	(2,675,842)
Provision for performance bonus		6,955,802		3,424,621		-		-		10,380,423		10,380,423	-
Gain from assets contributed		696,975		54,721		-		-		751,696		751,696	-
Accrued income		(130,266)		(161,574)		-		-		(291,840)		-	(291,840)
Emission liability		103,348		86,057		-		-		189,405		189,405	-
Contract assets		(47,615,054)		(18,481,093)		-		-		(66,096,147)		-	(66,096,147)
Contract liabilities		47,702,284		26,845,013		-		-		74,547,297		74,547,297	-
Lease liabilities / Right-of-use assets		(285,410)		(282,442)		-		(2,144)		(569,996)		-	(569,996)
Impairment of intangible assets		89,626		7,037		-		-		96,663		96,663	-
Gains on valuation of derivative assets		306,133		(1,374,137)		-		-		(1,068,004)		-	(1,068,004)
Investments in associates and joint ventures		(478,384,956)		(41,174,819)		(170,394)		-		(519,730,169)		36,678,591	(556,408,760)
Tax loss carryforward		319,492		261,870		-		38,108		619,470		619,470	-
Tax credit carryforward		13,333,304		(9,316,983)		-		-		4,016,321		4,016,321	-
Deferred tax assets (liabilities)	₩	(449,847,441)	₩	(38,411,275)	₩	553,044	₩	(5,971)	₩	(487,711,643)	₩	140,557,821	₩ (628,269,464)

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The analysis of deferred tax assets and liabilities as at December 31, 2022 and 2021, is as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Deferred tax assets		
Deferred tax asset to be recovered after more than 12 months	₩ 141,086,910	₩ 65,211,637
Deferred tax asset to be recovered within 12 months	265,545,603	75,346,184
	<u>406,632,513</u>	<u>140,557,821</u>
Deferred tax liabilities		
Deferred tax liability to be recovered after more than 12 months	(1,577,423,543)	(611,759,514)
Deferred tax liability to be recovered within 12 months	(43,424,625)	(16,509,950)
	<u>(1,620,848,168)</u>	<u>(628,269,464)</u>
Deferred tax liabilities, net	<u>₩ (1,214,215,655)</u>	<u>₩ (487,711,643)</u>

Realization of the future tax benefits related to the deferred tax assets is dependent on various factors, including the Group's ability to generate taxable income within the period during which the temporary differences reverse, the outlook of the Korean economic environment, and the overall future industry outlook. The Group periodically considers these factors in reaching its conclusion and recognizes deferred income tax assets based on the possibility of future realization.

29. Earnings per Share

Basic earnings per share for the years ended December 31, 2022 and 2021, is calculated as follows:

<i>(in Korean won, in share)</i>	2022	2021
Profit for the year	₩ 798,056,210,082	₩ 393,589,467,655
Weighted-average number of ordinary shares outstanding ¹	<u>69,746,778</u>	<u>66,165,000</u>
Basic earnings per share	<u>₩ 11,442</u>	<u>₩ 5,949</u>

¹ The Group issued an additional 5,009,000 shares for years ended December 31, 2022.

(b) Weighted-average number of ordinary shares outstanding

Details of change in the weighted-average number of ordinary shares outstanding for years ended December 31, 2022 and 2021, is as follows:

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<i>(in share)</i>	2022	2021
Beginning number of ordinary shares issued	66,165,000	66,165,000
Weighted-average number of ordinary shares outstanding	69,746,778	66,165,000

(c) Diluted earnings per share

Diluted earnings per share is calculated by adjusting the weighted-average number of outstanding ordinary shares assuming conversion of all dilutive potential ordinary shares. The Group had stock warrants as dilutive potential ordinary shares. For the stock warrants, dilutive potential ordinary shares are calculated by the number of shares that would have been issued assuming the stock warrants are exercised less the number of shares that could have been acquired at fair value.

Diluted earnings per share for the years ended December 31, 2022 and 2021, is as follows:

<i>(in Korean won, in share)</i>	2022	2021
Profit used to determine diluted earnings per share	₩ 798,056,210,082	₩ 393,589,467,655
Weighted-average number of ordinary shares for diluted earnings per share ¹	69,809,673	66,165,000
Diluted earnings per share	₩ 11,432	₩ 5,949

¹ Weighted-average number of ordinary shares for the years ended December 31, 2022 and 2021, is as follows:

<i>(in share)</i>	2022	2021
Weighted-average number of ordinary shares outstanding	₩ 66,165,000	₩ 66,165,000
Capital increase	3,581,778	-
Potential ordinary shares related to stock warrants	62,895	-
Weighted-average number of ordinary shares for diluted earnings per share	₩ 69,809,673	₩ 66,165,000

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30. Commitments and Contingencies

As at December 31, 2022, details of the Group's borrowings commitment with financial institutions are summarized as follows:

(in thousands of Korean won and in thousands of USD)

Financial Institution	Type	Currency	Limit	Currency	Outstanding balance
Woori Bank	Bank overdraft	KRW	10,000,000	KRW	-
	B2B PLUS	KRW	5,760,000	KRW	-
	Loans for equipment	KRW	70,000,000	KRW	70,000,000
	Loans for equipment	KRW	50,000,000	KRW	50,000,000
	Loans for equipment	KRW	50,000,000	KRW	50,000,000
	Loans for equipment in foreign currency	USD	30,000	USD	30,000
	General loan in corporate operation	KRW	159,900,000	KRW	100,000,000
	B2B PLUS main contract	KRW	50,000	KRW	-
Hana Bank	Bank overdraft	KRW	10,000,000	KRW	-
	Loans for equipment	KRW	50,000,000	KRW	50,000,000
	Loans for equipment	KRW	100,000,000	KRW	30,000,000
	Comprehensive limit	KRW	40,000,000	KRW	-
	General loan in foreign currency	USD	30,000	USD	30,000
	General loan in corporate operation	KRW	125,000,000	KRW	125,000,000
	General loan in corporate operation	USD	30,000	USD	30,000
Shinhan Bank	General loan	KRW	17,000,000	KRW	-
	Bank overdraft	KRW	10,000,000	KRW	-
	Loans for equipment	KRW	100,000,000	KRW	10,000,000
	General loan	KRW	125,000,000	KRW	125,000,000
Kookmin Bank	Loans for equipment	KRW	100,000,000	KRW	50,000,000
	General loan in corporate facility	KRW	13,500,000	KRW	13,500,000
	General loan in corporate operation	KRW	10,000,000	KRW	10,000,000
	Loans for equipment	KRW	100,000,000	KRW	20,000,000
Nonghyup Bank	General loan	KRW	50,000,000	KRW	50,000,000

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Financial Institution	Type	Currency	Limit	Currency	Outstanding balance
Export-Import Bank of Korea	Loans for export growth	KRW	110,000,000	KRW	110,000,000
	Loans for overseas business	KRW	95,000,000	KRW	95,000,000
Mizuho Bank	Loans for equipment	KRW	70,000,000	KRW	70,000,000
	Loans for equipment	KRW	100,000,000	KRW	100,000,000
Sumitomo Mitsui Bank	General loan in corporate operation	USD	50,000	USD	-
	General loan	KRW	30,000,000	KRW	-
	Shore-term loans for foreign currency			USD	32,181
	General loan	USD	900,000	KRW	122,000,000
Australia and New Zealand Banking Group Limited	Loans for equipment	USD	100,000	USD	30,000
Credit Agricole Bank	Loans for equipment	KRW	100,000,000	KRW	-
	General loan in corporate operation	KRW	45,000,000	KRW	45,000,000
BNP Paribas Bank	General loan	KRW	130,000,000	KRW	15,000,000
Standard Chartered Bank Korea Ltd	General loan	KRW	56,500,000	KRW	11,500,000
China Construction Bank	Loans for operation	KRW	50,000,000	KRW	50,000,000

As at December 31, 2022, details of guarantees provided by financial institutions are summarized as follows:

(in thousands of Korean won)

	Remarks	Limit		Payment guarantee	
		Currency	Amount	Currency	Amount
Woori Bank	Payment guarantees	KRW	39,500,000	KRW	2,861,661
Kookmin Bank	Foreign currency payment guarantee	KRW	30,000,000	KRW	-

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If the Group does not comply with the commitments below, financial institutions may require an early redemption of long-term borrowings. Details of debt covenants related to long-term borrowings with financial institutions as at December 31, 2022, are as follows:

Financial institution	Remarks	Details of covenants
Sumitomo Mitsui Bank	Shareholder composition ratio	The ownership of the Samsung Group shall be over 50%, and Samsung C&T Corporation shall maintain its ownership in the Group in excess of 50%.
Mizuho Bank	Shareholder composition ratio	Samsung Group (Samsung C&T Corporation, Samsung Electronics) shall maintain ownership of the Group not less than 60% (voting shares).
Sumitomo Mitsui Bank	Shareholder composition ratio	The Group shall maintain ownership in Samsung Bioepis Co., Ltd. over 50%
Kookmin Bank	Shareholder composition ratio	The Group shall maintain to be affiliates of Samsung Group and Samsung Group shall maintain its ownership in Samsung Bioepis Co., Ltd. in excess of 50%.
BNP Paribas Bank	Shareholder composition ratio	The Group shall maintain to be affiliates of Samsung Group and Samsung Group shall maintain its ownership in Samsung Bioepis Co., Ltd. in excess of 50%.
Mizuho Bank	Financial ratio	Samsung Bioepis Co., Ltd. shall maintain the ratio of interest-bearing debt to equity capita less than 180%

In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of some land, the Group is exempt from the full amount of rent because the Group meets the requirements for exemption of rent in accordance with the *Common Property Management Ordinance of Incheon*. The Group recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value. The period of land use without payment and exemption requirement of the full amount of rent are as follows:

(i) Period

Lease terms are for a total of 50 years. The initial lease period is for 20 years from the land lease contract date, April 28, 2011, and the Group can renew the contract for another 30 years in successive 10-year increments.

(ii) Exemption requirement

The Group whose foreign investment amounts to more than USD 20 million for 5 years since the land lease contract date is subject to the exemption from Article 32 of *Common Property Management Ordinance of Incheon*. Afterwards, the foreign invested enterprises that meet the average daily employee count of above 300, is subject to exemption.

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As at December 31, 2022, there are a total of four pending lawsuits of stock transaction damages related to the Group's accounting and disclosure (Note 35) and the total amount of litigation is ₩ 9,296 million. Additionally, there are 8 lawsuits and the total amount of ligations is nil.

Contractual obligation to purchase property, plant and equipment and intangible assets are as at December 31, 2022 are ₩ 1,260,926 million, of which the amount committed to related parties including Samsung Engineering Co., Ltd. is ₩ 526,743 million.

In 2021, the Group entered into an investment agreement with a limit of total ₩ 49,500 million for Samsung Venture Capital Union #54. The Group paid an initial investments of ₩ 12,375 million on August 13, 2021 and paid additional investments of ₩ 3,135 million on June 2022, ₩ 12,375 million on August, 2022. The Group plans to pay additional investments in two installments by August 13, 2024.

The Group entered into the land purchase agreement with Incheon Free Economic Zone (IFEZ) for the second Bio Campus on July 18, 2022, and the purchase price is ₩ 426 billion. The Group must carry out all procedures, such as facility construction plans and approval for use, within a certain period from the enforcement date of the purchase agreement. When the Group fails to fulfil the procedures, the purchase agreement may be cancelled.

31. Related Parties

As at December 31, 2022, Samsung C&T Corporation is a controlling company, and the percentage of ownership it has over the Group is 43.06%.

Details of related parties as at December 31, 2022, are as follows:

Relationship	Companies
Parent company	Samsung C&T Corporation
Entity with significant influence over the Company	Samsung Electronics Co., Ltd.
Subsidiary ¹	Samsung Bioepis Co., Ltd
Associates and Joint ventures	Archigen Biotech Limited, Samsung Venture Capital Union #54
Others	Samsung Welstory Inc., Samsung C&T Deutschland GmbH, Samsung Research America, Inc, Samsung Electronics Sales Co., Ltd., Samsung Electronics Services Co., Ltd., Samsung SDS America, Samoo Architects & Engineers, Samsung Hospitality America Inc.
The Enterprise Group ²	Samsung Card Co., Ltd., Samsung Engineering Co., Ltd. S-1 Corporation, Samsung SDS Co., Ltd., Samsung Global Research, Multicampus Corporation, Samsung Fire & Marine Insurance Co., Ltd., Samsung Life Insurance Co., Ltd., Hotel Shilla Co., Ltd., Samsung Securities Co.,Ltd, SBTM Corporation, SECUi Corp., Ltd, SHP Corporation, Cheil Worldwide Inc, and others

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¹ The Group acquired the entire shares of Samsung Bioepis Co., Ltd. and classified it to subsidiary from joint ventures. In the transaction details of related parties, only the transaction amount prior to the acquisition date is included.

² Although the entities are not the related party of the Group in accordance with Korean IFRS 1024, the entities belong to the Business Group designated as a conglomerate to which the Group also belongs in accordance with the Monopoly Regulation and Fair Trade Act.

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Outstanding balances with related parties as at December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)	2022					
	Receivables			Payables		
	Trade receivables	Other receivables	Accrued income	Other payables and others	Advance receipts	Contract liabilities
Parent company						
Samsung C&T Corporation	₩	-	₩	-	₩	-
Entity with significant influence over the Company						
Samsung Electronics Co., Ltd.		-	-	-	13,622,121	-
Others						
Samsung Welstory Inc.		-	3,130	-	1,872,862	-
Samsung Electronics Sales Co., Ltd.		-	-	-	18,097	-
Samoo Architects & Engineers		-	-	-	518,100	-
Samsung C&T Deutschland GmbH		-	-	-	113,058	-
Samsung SDS America		-	-	-	8,472	-
Samsung Research America, Inc		-	-	-	3,560	-
The Enterprise Group						
Samsung Card Co., Ltd.		-	53,280	-	1,365,127	-
Samsung Engineering Co.,LTD		-	-	-	140,936,113	-
S-1 Corporation		-	-	-	7,096,462	-
Samsung SDS Co., Ltd.		-	-	-	7,454,673	-
Samsung Global Research Co., Ltd.		-	-	-	300,279	-
Samsung Fire & Marine Insurance Co., Ltd.		-	169	-	3,077	-
SECUi Corp.		-	-	-	1,482,527	-
Others ¹		-	-	-	564,135	-
	₩	-	₩ 56,579	₩	₩ 176,121,712	₩

¹ Transactions with Cheil Worldwide Inc, Multicampus Corporation, SHP Corporation and SBTM Corporation were included.

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	2021											
	Receivables						Payables					
	Trade receivables	Other receivables	Accrued income	Other payables and others	Advance receipts	Contract liabilities						
Parent company												
Samsung C&T Corporation	₩	-	₩	-	₩	-	₩	83,664	₩	-	₩	-
Entity with significant influence over the Company												
Samsung Electronics Co., Ltd.		-		-		-		7,870,023		-		-
Associates and joint ventures												
Samsung Bioepis Co., Ltd.		83,803,971		1,363		20,865		27,784		45,656,471		44,605,848
Others												
Samsung Welstory Inc.		-		2,305		-		1,219,907		-		-
Samsung Electronics Sales Co., Ltd.		-		-		-		3,425		-		-
Samoo Architects & Engineers Co., Ltd.		-		-		-		352,000		-		-
Samsung C&T Deutschland GmbH		-		-		-		21,859		-		-
Samsung SDS America		-		-		-		7,925		-		-
Samsung Hospitality America Inc.		-		-		-		2,803		-		-
The Enterprise Group												
Samsung Card Co., Ltd.		-		31,212		-		306,528		-		-
Samsung Engineering Co., LTD		-		-		-		216,471,395		-		-
S-1 Corporation		-		-		-		3,197,017		-		-
Samsung SDS Co., Ltd.		-		-		-		4,222,265		-		-
Samsung Global Research Co., Ltd.		-		-		-		643,915		-		-
Samsung Fire & Marine Insurance Co., Ltd.		-		-		-		1,911		-		-
Others ¹		-		-		-		71,974		-		-
	₩83,803,971	₩	34,880	₩	20,865	₩234,504,395	₩45,656,471	₩44,605,848				

¹ Transactions with Multicampus Corporation and Hotel Shilla Co., Ltd. were included.

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Significant transactions which occurred in the normal course of business with related parties for the years ended December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)

	2022					
	Revenue		Expenses		Asset acquisition	
	Revenue	Others	Service fees	Others		
Parent Company						
Samsung C&T Corporation	₩ -	₩ -	₩ 822,008	₩ 230,719	₩ 627,000	
Entity with significant influence over the Company						
Samsung Electronics Co., Ltd.	-	-	11,089,042	162,927	1,553	
Subsidiary¹						
Samsung Bioepis Co., Ltd. ³	37,496,990	-	-	-	-	
Others						
Samsung Welstory Inc.	-	27,680	-	17,254,583	-	
Samsung Electronics Sales Co., Ltd.	-	3,600	-	123,032	-	
Samsung Electronics Services Co., Ltd	-	-	-	2,128	-	
Samoo Architects & Engineers	-	-	154,810	-	1,714,000	
Samsung C&T Deutschland GmbH	-	-	-	878,779	-	
Samsung Research America, Inc.	-	-	-	23,536	-	
Samsung SDS America	-	-	-	77,682	-	
Samsung Hospitality America Inc.	-	-	13,543	-	-	
The Enterprise Group						
Samsung Card Co., Ltd.	-	32,676	-	972,984	-	
Samsung Engineering CO.,LTD	-	-	-	-	543,927,757	
S-1 Corporation	-	-	24,769,408	3,202,762	3,165,900	
Samsung SDS Co., Ltd.	-	3,979	985,973	21,389,215	8,637,775	
Samsung Global Research Co.,Ltd.	-	-	186,910	3,226,617	-	
Samsung Fire & Marine Insurance Co., Ltd. ¹	-	785,335	3,865	9,693,801	-	
Samsung Life Insurance Co., Ltd. ¹	-	988,255	123,461	109,483	-	
Samsung Securities Co., Ltd. ¹	-	506,914	35,133	-	-	
Cheil Worldwide Inc	-	-	421,850	81,553	-	
SBTM Corporation	-	-	5,531	188,830	-	
Others ²	-	-	194,796	2,090,579	1,347,752	
	₩ 37,496,990	₩ 2,348,439	₩ 38,806,330	₩ 59,709,210	₩ 559,421,737	

¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits. As at December, 2022, the Group deposited ₩ 35,327 million (December 31, 2021: ₩ 44,266 million) in Samsung Fire & Marine Insurance Co., Ltd., ₩ 73,701 million (December 31, 2021: ₩ 27,654 million) in Samsung Life Insurance Co., Ltd., and ₩ 31,693 million (December 31, 2021: ₩ 29,721 million) in Samsung Securities Co., Ltd., as plan assets.

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² Transactions with Multicampus Corporation, Hotel Shilla Co., Ltd., SECUI Corp., and SHP Corporation were included.

³ The Group acquired the entire shares of Samsung Bioepis Co., Ltd. and classified it to subsidiary from joint ventures. In the transaction details of related parties, only the transaction amount prior to the acquisition date is included.

(in thousands of Korean won)

	2021				
	Revenue		Expenses		Asset acquisition
	Revenue	Others	Service fees	Others	
Parent company					
Samsung C&T Corporation	₩	-	₩	-	₩ 815,428 ₩ 83,945 ₩ -
Entity with significant influence over the Company					
Samsung Electronics Co., Ltd.		-		-	6,753,165 12,435 -
Associates and joint ventures					
Samsung Bioepis Co., Ltd.	275,379,070	426,194	30,155	-	145,578
Archigen Biotech Limited	-	43	-	-	-
Others					
Samsung Welstory Inc.	-	32,111	-	11,968,464	-
Samsung Electronics Sales Co., Ltd.	-	3,600	-	51,511	-
Seoul Lake Side Co., LTD	-	-	600	-	1,200
Samoo Architects & Engineers Co., Ltd.	-	-	-	-	5,841,732
Samsung C&T Deutschland GmbH	-	-	-	851,200	-
Samsung Research America, Inc.	-	-	5,839	-	-
Samsung SDS America	-	-	-	101,250	-
Samsung Hospitality America Inc.	-	-	-	-	16,634
The Enterprise Group					
Samsung Card Co., Ltd.	-	15,829	-	551,442	-
Samsung Engineering Co., LTD	-	-	286,000	-	196,792,178
S-1 Corporation	-	-	17,907,018	1,892,777	1,062,293
Samsung SDS Co., Ltd.	-	3,788	1,115,482	16,541,367	3,937,689
Samsung Global Research Co., Ltd.	-	-	555,000	2,604,436	-
Samsung Fire & Marine Insurance Co., Ltd. ¹	-	729,004	-	6,398,877	-
Samsung Life Insurance Co., Ltd. ¹	-	276,552	-	72,246	-
Samsung Securities Co., Ltd. ¹	-	271,406	37,554	-	-
Cheil Worldwide Inc.	-	-	-	438,062	-
SBTM Corporation	-	-	8,000	10,911	-
Others ²	-	-	90,823	1,840,953	-
	₩ 275,379,070	₩ 1,758,527	₩ 27,605,064	₩ 43,419,876	₩ 207,797,304

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¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits.

² Transactions with Multicampus Corporation, Hotel Shilla Co., Ltd., S-Core Co., Ltd were included.

The compensation paid or payable to key management for employee services for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022		2021	
Short-term employee benefits	₩	4,706,320	₩	5,952,615
Long-term employee benefits		3,584,766		1,542,336
Retirement benefits		697,083		454,363
	₩	8,988,169	₩	7,949,314

Key management refers to the registered directors (including non-executives). Compensation of the Group's key management personnel includes salaries, non-cash benefits, and contributions to a post-employment defined benefit plan. In addition, the Group has granted long-term incentives to the Group's key management personnel based on its three-year management performance. The estimated amount of liabilities arising from such incentives are recognized as accrued expenses and long-term accrued expenses.

Financing transactions with related parties for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	Companies	2022	2021	Description
Parent Company	Samsung C&T Corporation	₩ 1,216,808,721	₩ -	Capital increase
Entity with significant influence over the Company	Samsung Electronics Co., Ltd.	882,124,803	-	Capital increase
Associates and joint ventures	Samsung Venture Capital Union #54	15,510,000	12,375,000	Equity contribution in cash
The Enterprise Group	Samsung Securities Co., Ltd. ¹	500,000	-	Capital increase
Directors	Kim Tae-Han	812,808	-	Capital increase
	Kim Dong-Joong	212,148	-	Capital increase

¹ Solicitation brokerage fee paid for the capital increase was recognized as a decrease in share premium.

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32. Statements of Cash Flows

Significant transactions not involving cash flows of investing and financing activities for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Increase in other payables due to acquisition of property, plant and equipment and intangible assets	₩ 1,504,487,682	₩ -
Increase in other payables due to acquisition of property, plant and equipment and intangible assets	363,464,573	233,625,654
Transfer of construction-in-progress to property, plant and equipment and intangible assets	760,724,866	123,724,604
Increase in right-of-use assets and lease liabilities	448,062,511	7,206,634

Changes in liabilities arising from financial activities for the years ended December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022						
	Current portion of debentures	Debentures	Short-term borrowings	Current portion of long-term borrowings	Long-term borrowings	Lease liabilities	Total
At January 1, 2022	₩ -	₩ 538,553,996	₩ 50,000,000	₩ 109,855,000	₩ 576,130,000	₩ 18,208,298	₩ 1,292,747,294
Increase due to business combination	-	-	439,008,000	380,500,000	138,082,000	945,253	958,535,253
Changes arising from financial activities:							
Proceeds from borrowing liabilities	-	-	593,750,000	-	211,903,000	-	805,653,000
Repayment of borrowing liabilities	-	-	(496,987,928)	(440,355,000)	-	-	(937,342,928)
Payment of lease	-	-	-	-	-	(56,550,583)	(56,550,583)
Others:							
Reclassification to current portion	39,954,382	(39,954,382)	-	463,584,000	(463,584,000)	-	-
Effects of exchange rate changes on cash and cash equivalents	-	-	(2,986,774)	2,454,000	3,507,000	165,853	3,140,079
Amortization of discount on debentures	24,339	452,718	-	-	-	-	477,057
Changes in lease	-	-	-	-	-	448,062,511	448,062,511
Gain on lease cancellation	-	-	-	-	-	(688,744)	(688,744)
At December 31, 2022	₩ 39,978,721	₩ 499,052,332	₩ 582,783,298	₩ 516,038,000	₩ 466,038,000	₩ 410,142,588	₩ 2,514,032,939

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(in thousands of Korean won)

	2021						
	Current portion of debentures	Debentures	Short-term borrowings	Current portion of long-term borrowings	Long-term borrowings	Lease liabilities	Total
At January 1, 2021	₩ 149,927,459	₩ 39,930,899	₩ 30,000,000	₩ 10,980,000	₩ 531,520,000	₩ 22,546,905	₩ 784,905,263
Changes arising from financial activities:							
Proceeds from borrowing liabilities	-	-	50,000,000	-	149,920,000	-	199,920,000
Proceeds from issuance of debentures	-	498,436,060	-	-	-	-	498,436,060
Repayment of borrowing liabilities	-	-	(30,000,000)	(10,980,000)	-	-	(40,980,000)
Repayment of debentures	(150,000,000)	-	-	-	-	-	(150,000,000)
Payment of lease	-	-	-	-	-	(10,753,924)	(10,753,924)
Others:							
Reclassification to current portion	-	-	-	108,880,000	(108,880,000)	-	-
Effects of exchange rate changes on cash and cash equivalents	-	-	-	975,000	3,570,000	285,367	4,830,367
Amortization of discount on debentures	72,541	187,037	-	-	-	-	259,578
Changes in lease	-	-	-	-	-	6,130,367	6,130,367
Gain on lease cancellation	-	-	-	-	-	(416)	(416)
At December 31, 2021	₩ -	₩ 538,553,996	₩ 50,000,000	₩ 109,855,000	₩ 576,130,000	₩ 18,208,299	₩ 1,292,747,295

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33. Financial Risk Management

The Group is exposed to credit risk, liquidity risk, and market risk in connection with its financial instruments. This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital. Further quantitative disclosures are included throughout these financial statements.

(a) Financial risk management

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations. The Board of Directors oversees how management monitors compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group.

(b) Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Group's receivables from customers. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposures to credit risk as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>	2022	2021
Cash and cash equivalents ¹	₩ 890,819,571	₩ 47,410,384
Short-term financial instruments	2,168,901,000	450,000,000
Financial assets at fair value through profit or loss	98,505,712	850,039,877
Long-term financial instruments	7,335,813	189,491
Trade and other receivables	694,956,897	354,616,237
Derivative assets	18,137,458	4,091,971
Deposits provided	62,743,713	46,812,354
	<u>₩ 3,941,400,164</u>	<u>₩ 1,753,160,314</u>

¹ Cash on hand held by the Group is excluded.

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(c) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or other financial assets. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The ultimate responsibility for liquidity risk management remains with the Board of Directors, who establishes fundamental policies to adequately manage short-term, medium-and long-term financing and liquidity management regulations. To maintain adequate liquidity, the Group manages liquidity risk by periodically forecasting and adjusting its capital balance.

The following are the contractual maturities of financial liabilities as at December 31, 2022 and 2021, including estimated interest payments and excluding the impact of netting agreements. The Group does not expect that the cash flows included in the maturity analysis could occur significantly earlier or at different amounts.

<i>(in thousands of Korean won)</i>	2022					
	Book amount	Contractual cash flows	Less than 1 year	1-2 year	2-3 year	More than 3 years
Trade and other payables	₩2,157,597,481	₩2,180,535,735	₩1,624,767,738	₩ 555,767,997	₩ -	₩ -
Lease liabilities	410,142,588	411,115,210	142,383,881	134,707,660	128,536,398	5,487,271
Debentures	539,031,053	562,194,181	50,279,070	387,507,876	2,632,800	121,774,435
Short-term borrowings	582,783,298	605,740,603	605,740,603	-	-	-
Long-term borrowings	982,076,000	1,036,664,018	552,276,183	367,541,644	116,846,191	-
	<u>₩4,671,630,420</u>	<u>₩4,796,249,747</u>	<u>₩2,975,447,475</u>	<u>₩1,445,525,177</u>	<u>₩248,015,389</u>	<u>₩127,261,706</u>

<i>(in thousands of Korean won)</i>	2021					
	Book amount	Contractual cash flows	Less than 1 year	1-2 year	2-3 year	More than 3 years
Trade and other payables	₩ 345,578,834	₩ 345,578,834	₩ 342,930,338	₩ 2,648,496	₩ -	₩ -
Lease liabilities	18,208,298	19,043,888	7,699,851	5,212,986	5,329,081	801,970
Debentures	538,553,996	573,433,181	11,239,000	50,279,070	387,507,876	124,407,235
Short-term borrowings	50,000,000	50,812,192	50,812,192	-	-	-
Long-term borrowings	685,985,000	711,781,531	123,454,360	435,842,182	152,484,989	-
	<u>₩ 1,638,326,128</u>	<u>₩ 1,700,649,626</u>	<u>₩ 536,135,741</u>	<u>₩ 493,982,734</u>	<u>₩ 545,321,946</u>	<u>₩125,209,205</u>

(d) Currency risk

The Group is exposed to currency risk on sales, purchases, and borrowings. The currencies in which these transactions primarily are denominated are USD and so forth. The Group establishes a plan to manage currency risk through currency forwards and so forth, if considered necessary.

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(i) Exposure to currency risk

The Group's exposure to foreign currency risk as at December 31, 2022 and 2021, are as follows:

(in thousands of Korean won)

	2022				
	USD	EUR	JPY	GBP	Others
Assets:					
Cash equivalents	₩ 211,388,497	₩ 173,584	₩ -	₩ 3,067,221	₩ 196,680
Short-term financial instruments	468,901,000	-	-	-	-
Trade and other receivables	668,368,288	2,517,962	-	971,501	495,285
Contract assets	47,141,315	-	-	-	-
	<u>1,395,799,100</u>	<u>2,691,546</u>	<u>-</u>	<u>4,038,722</u>	<u>691,965</u>
Liabilities:					
Borrowings ¹	116,821,298	-	-	-	-
Trade and other payables	1,576,202,706	23,509,157	2,500,456	682,508	599,154
	<u>1,693,024,004</u>	<u>23,509,157</u>	<u>2,500,456</u>	<u>682,508</u>	<u>599,154</u>
	<u>₩ (297,224,904)</u>	<u>₩ (20,817,611)</u>	<u>₩ (2,500,456)</u>	<u>₩ 3,356,214</u>	<u>₩ 92,811</u>

(in thousands of Korean won)

	2021			
	USD	EUR	JPY	GBP
Assets:				
Cash equivalents	₩ 2,609	₩ -	₩ -	₩ -
Short-term financial instruments	-	-	-	-
Trade and other receivables	320,350,462	100,535	-	608,143
Contract assets	27,999,271	-	-	-
	<u>348,352,342</u>	<u>100,535</u>	<u>-</u>	<u>608,143</u>
Liabilities:				
Borrowings ¹	11,855,000	-	-	-
Trade and other payables	4,839,226	2,362,327	2,001	142,919
	<u>16,694,226</u>	<u>2,362,327</u>	<u>2,001</u>	<u>142,919</u>
	<u>₩ 331,658,116</u>	<u>₩ (2,261,792)</u>	<u>₩ (2,001)</u>	<u>₩ 465,224</u>

¹ Foreign currency borrowings with a foreign currency swap are excluded as they are not exposed to currency risk.

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(ii) The significant exchange rates applied for the years ended December 31, 2022 and 2021, are as follows:

	2022				2021			
	Average rate		December 31, 2022		Average rate		December 31, 2021	
USD	₩	1,291.95	₩	1,267.30	₩	1,144.42	₩	1,185.50
EUR		1,357.38		1,351.20		1,352.79		1,342.34
JPY(100¥)		983.44		953.18		1,041.45		1,030.24
GBP		1,592.33		1,527.67		1,573.96		1,600.25

(iii) Sensitivity analysis

The Group internally assesses the currency risk against changes in exchange rate fluctuations regularly. The table below summarizes the impact of weakened/strengthened functional currency on the Group's income before tax. The analysis is based on the assumption that functional currency has weakened/strengthened by 10% with all other variables held constant.

	2022				2021			
	10% increase		10% decrease		10% increase		10% decrease	
USD	₩	(29,722,490)	₩	29,722,490	₩	33,165,812	₩	(33,165,812)
EUR		(2,081,761)		2,081,761		(226,179)		226,179
JPY		(250,046)		250,046		(200)		200
GBP		335,621		(335,621)		46,522		(46,522)
Others		9,281		(9,281)		-		-
	₩	(31,709,395)	₩	31,709,395	₩	32,985,955	₩	(32,985,955)

(e) Interest rate risk

The Group is exposed to interest rate risk because they raised funds with interests paid at a variable rate. The effects of changes in interest rates by 0.5% applied to the profit and loss (before tax) for the years ended December 31, 2022 and 2021, are as follows:

	2022				2021			
	0.5% increase		0.5% decrease		0.5% increase		0.5% decrease	
Increase (decrease) in profit before income tax	₩	(4,130,486)	₩	4,130,486	₩	(1,454,110)	₩	1,454,110

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(f) *Capital management*

The Group's capital management is for the purpose of maximizing the shareholders' interest by maintaining an optimal capital structure. To achieve optimal capital structure, the Group may improve financial structure monitoring financial ratios, such as debt-to-equity ratio.

The debt-to-equity ratio as at December 31, 2022 and 2021, are as follows:

<i>(in thousands of Korean won)</i>		2022		2021
Total liabilities (A)	₩	7,597,575,863	₩	2,978,908,646
Total equity (B)		8,984,474,395		4,991,102,141
Debt-to-equity ratio (A/B)		84.56%		59.68%

34. Business combination

To strengthen global business competitiveness through enhancement of biopharmaceutical development capabilities, the Group acquired additional 50%-1 shares in April 20, 2022 and obtained control of Samsung Bioepis Co., Ltd. by holding 100% shares.

The fair values of each type of consideration transferred as of the acquisition date are as follows:

<i>(in thousands of Korean won)</i>		Amount
Cash (including installment payments)	₩	2,718,845,697
Fair value of equity held before business combination		2,739,387,946
Contingent considerations		20,541,985
Total purchase considerations	₩	<u>5,478,775,628</u>

The gain of ₩ 64,417,937 thousand from the remeasurement of the 50% + 1 share of Samsung Bioepis Co., Ltd. to the fair value is recognized as other income (gain on disposal of investments in joint venture) on the consolidated statement of comprehensive income.

The Group will determine whether the conditions for payment of contingent considerations are satisfied by year according to the sales performance of the investee company through the seller, and then decide the size of the contingent consideration during 2027. The nominal amount that the Group is likely to pay in the future in accordance with the above arrangement is in the range of USD 0 - 50,000,000. At the acquisition date, the fair value of the contingent consideration was estimated as ₩ 20,541,985 thousand using the option valuation model.

At the acquisition date, the fair values of identifiable acquired assets and assumed liabilities, and

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related goodwill are as follows.

<i>(in thousands of Korean won)</i>	Book amount	Fair value adjustment	Fair value
Cash and cash equivalents	₩ 153,078,919	₩ -	₩ 153,078,919
Trade and other receivables	135,492,087	-	135,492,087
Inventories	1,221,325,253	-	1,221,325,253
Other assets	137,186,941	-	137,186,941
Property, plant and equipment and right-of-use assets	223,866,939	104,447,294	328,314,233
Intangible assets	634,409,838	3,651,917,128	4,286,326,966
Deferred tax assets (liabilities)	178,168,810	(987,923,843)	(809,755,033)
Trade and other payables	(131,827,979)	-	(131,827,979)
Long-term and short-term borrowings	(957,590,000)	-	(957,590,000)
Other liabilities	(561,383,726)	-	(561,383,726)
Fair value of net identifiable assets acquired			3,801,167,661
Goodwill ¹			1,677,607,967
Total purchase considerations			₩ 5,478,775,628

¹ Goodwill consists of values such as synergies expected from a business combination.

Net cash outflows from business combinations for the years ended December 31, 2022, are as follows:

<i>(in thousands of Korean won)</i>	Amount
Considerations paid in cash	₩ 1,234,900,000
Less: cash and cash equivalents acquired	(153,078,919)
Net cash outflow	₩ 1,081,821,081

The Samsung Bioepis Co., Ltd. recognized sale of ₩ 663,772,381 thousand and net income of ₩ 92,881,669 thousand for the eight-month periods since the acquisition date. Had Samsung Bioepis Co., Ltd. been consolidated from January 1, 2022, the consolidated statement of profit or loss would have shown sale of ₩ 3,246,365,801 thousand and net income of ₩ 800,159,066 thousand. The estimates were calculated, assumed that the provisionally adjusted fair value adjustment at the acquisition date would have been the same on January 1, 2022. The impact of amortization and income tax on the fair value of identifiable assets due to business combinations is reflected.

Provisions/contingent liabilities were not recognized because the lawsuit case of Samsung Bioepis Co., Ltd. did not have a litigation value and it was difficult to reliably measure the outflow

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of resources.

35. Ruling of the Securities and Futures Commission in relation to the accounting for investment in Samsung Bioepis Co., Ltd., the related administrative lawsuit and the indictment

On July 12, 2018, the Securities & Futures Commission (“SFC”) imposed the first administrative measures in accordance with the Act on External Audit of Stock Companies against the Company for alleged failure to disclose sufficient information in the Company’s Financial Statements from 2012 to 2015 regarding the Company’s joint venture agreement with Biogen Therapeutics Inc. The measures (“First measures”) included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Company’s executives in charge; and iii) prosecution against the Company and its representative director (CEO). On November 14, 2018, the SFC imposed the second administrative measures in accordance with the Act on External Audit of Stock Companies against the Company for violation of accounting standards by inappropriately applying separate method regarding investments in Samsung Bioepis from 2012 to 2018. The measures (“Second measures”) included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Company’s representative director (CEO) and executives in charge; iii) referral of the case against the Company and its representative director (CEO) to the Prosecutors Office; iv) retrospective restatement of financial statements; and v) imposition of administrative fine of ₩ 8 billion on November 21, 2018.

In order to demonstrate the legitimacy of the Company’s accounting, the Company submitted requests for cancellation of the First measures on October 8, 2018 and the Second measures on November 27, 2018 to the Seoul Administrative Court (the “Court”). As at the reporting date, the lawsuits seeking the cancellation of the First and Second measures are in progress. On September 24, 2021, the Court ruled to cancel the First measures imposed to the Company by SFC and decided to suspend the First measures until the decision of the appeal trial is made. The SFC appealed the Court’s first trial on October 16, 2021 and the litigation is currently in progress at the Seoul High Court.

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In addition, the Company submitted requests for suspension of measures by SFC on November 27, 2018 and December 18, 2018, to the Court. The Supreme Court affirmed the suspension of the Second and First measures, on September 6, 2019 and October 11, 2019, respectively.

Administrative lawsuits are in progress relating to the SFC's measures, and it is not possible to predict the outcome of the administrative lawsuits. However, if the Company loses the administrative lawsuits, the financial statements for 2012 and the subsequent reporting periods could potentially be restated.

With respect to this matter, the investigation by the Seoul Central Prosecutors Office against the Company's former CEO and CFO for alleged violation of the Act on External Audit of Stock Companies, the Financial Investment Services and Capital Market Act, the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of document destruction under Criminal Act was carried out. In 2022, the Company's former CEO and CFO were indicted for alleged violation of the Act on External Audit of Stock Companies, alleged violation of the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of document destruction under Criminal Act.

Meanwhile, on December 9, 2019, employees of the Company and Samsung Bioepis Co., Ltd. who were arrested on suspicion of evidence destruction, were found guilty of violating the Act on External Audit of Stock companies and Criminal Act in the first ruling of the Seoul Central District Court. All the employees of Samsung Bioepis Co., Ltd. appealed the ruling above, and the employee of the Company who abandoned his or her appeal received suspended sentences for the destruction of evidence.

If the Company's consolidated financial statements are restated in accordance with the SFC's measures, share of profit, gain on disposal of investments, and the total comprehensive income for the period for the year ended December 31, 2022 would be increased by ₩ 5,082 million, ₩ 2,325,736 million and ₩ 1,724,526 million, respectively mainly due to the elimination of fair value valuation for Samsung Bioepis in 2015.

(a) Impact on Financial Position

If the Group loses the administrative litigation, it shall restate the statements of financial position (consolidated statements of financial position from 2012 to 2014 and 2020 to 2022) as indicated by the Securities and Futures Commission and its impact shall be as follows.

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(i) As at December 31, 2022 and 2021

(in thousands of Korean won)

	2022			2021		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩6,457,656,567	₩ -	₩6,457,656,567	₩2,823,175,325	₩ -	₩2,823,175,325
Non-current assets	10,124,393,691	-	10,124,393,691	5,146,835,462	(2,210,143,107)	2,936,692,355
Investments in associates and joint ventures	30,774,606	-	30,774,606	2,661,309,486	(2,330,759,762)	330,549,724
Deferred tax assets	-	-	-	-	120,616,655	120,616,655
Total assets	16,582,050,258	-	16,582,050,258	7,970,010,787	(2,210,143,107)	5,759,867,680
Liabilities						
Current liabilities	4,181,541,561	-	4,181,541,561	1,107,294,649	-	1,107,294,649
Current tax liabilities	223,298,677	-	223,298,677	110,174,302	-	110,174,302
Non-current liabilities	3,416,034,302	-	3,416,034,302	1,871,613,997	(487,711,643)	1,383,902,354
Deferred tax liabilities	1,214,215,656	-	1,214,215,656	487,711,643	(487,711,643)	-
Total liabilities	7,597,575,863	-	7,597,575,863	2,978,908,646	(487,711,643)	2,491,197,003
Equity						
Share premium	5,663,111,353	9,313,768	5,672,425,121	2,487,313,082	9,313,769	2,496,626,851
Accumulated other comprehensive loss	(2,173,393)	195,729	(1,977,664)	(8,810,638)	(1,738,979)	(10,549,617)
Retained earnings	3,145,601,436	(9,509,498)	3,136,091,938	2,347,187,197	(1,730,006,253)	617,180,944
Total equity	8,984,474,395	-	8,984,474,395	4,991,102,141	(1,722,431,464)	3,268,670,677
Total liabilities and equity	₩16,582,050,258	₩ -	₩16,582,050,258	₩7,970,010,787	₩ (2,210,143,107)	₩5,759,867,680

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(ii) As at December 31, 2020 and 2019

(in thousands of Korean won)

	2020			2019		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩1,751,347,248	₩ -	₩1,751,347,248	₩1,356,261,664	₩ -	₩1,356,261,664
Non-current assets	4,672,853,916	(2,231,970,559)	2,440,883,357	4,555,364,848	(2,266,795,380)	2,288,569,468
Investments in associates and joint ventures	2,634,428,494	(2,351,085,909)	283,342,585	2,652,731,622	(2,369,723,569)	283,008,053
Deferred tax assets	-	119,115,350	119,115,350	-	102,928,189	102,928,189
Total assets	<u>6,424,201,164</u>	<u>(2,231,970,559)</u>	<u>4,192,230,605</u>	<u>5,911,626,512</u>	<u>(2,266,795,380)</u>	<u>3,644,831,132</u>
Liabilities						
Current liabilities	589,300,919	-	589,300,919	690,505,243	-	690,505,243
Current tax liabilities	23,259,655	-	23,259,655	12,857,398	-	12,857,398
Non-current liabilities	1,236,117,073	(449,847,440)	786,269,633	866,667,524	(470,544,915)	396,122,609
Deferred tax liabilities	449,847,440	(449,847,440)	-	470,544,915	(470,544,915)	-
Total liabilities	<u>1,825,417,992</u>	<u>(449,847,440)</u>	<u>1,375,570,552</u>	<u>1,557,172,767</u>	<u>(470,544,915)</u>	<u>1,086,627,852</u>
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	2,487,313,082	9,313,769	2,496,626,851
Accumulated other comprehensive loss	(7,540,139)	(1,738,979)	(9,279,118)	(10,894,766)	(1,738,979)	(12,633,745)
Retained earnings	1,953,597,729	(1,789,697,909)	163,899,820	1,712,622,929	(1,803,825,254)	(91,202,325)
Total equity	<u>4,598,783,172</u>	<u>(1,782,123,119)</u>	<u>2,816,660,053</u>	<u>4,354,453,745</u>	<u>(1,796,250,465)</u>	<u>2,558,203,280</u>
Total liabilities and equity	<u>₩6,424,201,164</u>	<u>₩ (2,231,970,559)</u>	<u>₩4,192,230,605</u>	<u>₩5,911,626,512</u>	<u>₩ (2,266,795,380)</u>	<u>₩3,644,831,132</u>

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(iii) As at December 31, 2018 and 2017

(in thousands of Korean won)

	2018			2017		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩1,577,683,716	₩ -	₩1,577,683,716	₩ 620,995,135	₩ -	₩ 620,995,135
Non-current assets	4,402,724,932	(2,341,121,903)	2,061,603,029	6,562,096,027	(3,913,984,446)	2,648,111,581
Investments in associates and joint ventures	2,561,802,520	(2,387,705,348)	174,097,172	5,008,234,005	(4,503,664,434)	504,569,571
Deferred tax assets	-	46,583,445	46,583,445	-	589,679,987	589,679,987
Total assets	<u>5,980,408,648</u>	<u>(2,341,121,903)</u>	<u>3,639,286,745</u>	<u>7,183,091,162</u>	<u>(3,913,984,446)</u>	<u>3,269,106,716</u>
Liabilities						
Current liabilities	710,529,787	(38,759)	710,491,028	2,287,442,106	-	2,287,442,106
Derivative liabilities	39,623,718	(38,759)	39,584,959	1,933,562,427	-	1,933,562,427
Non-current liabilities	1,114,410,410	(534,542,329)	579,868,081	919,198,164	(505,315,891)	413,882,273
Deferred tax liabilities	534,542,330	(534,542,330)	-	505,315,891	(505,315,891)	-
Total liabilities	<u>1,824,940,197</u>	<u>(534,581,088)</u>	<u>1,290,359,109</u>	<u>3,206,640,270</u>	<u>(505,315,891)</u>	<u>2,701,324,379</u>
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	2,487,313,082	9,313,769	2,496,626,851
Accumulated other comprehensive loss	(6,975,961)	(1,738,979)	(8,714,940)	(4,009,447)	(3,780,868)	(7,790,315)
Retained earnings	1,509,718,830	(1,814,115,605)	(304,396,775)	1,327,734,757	(3,414,201,456)	(2,086,466,699)
Total equity	<u>4,155,468,451</u>	<u>(1,806,540,815)</u>	<u>2,348,927,636</u>	<u>3,976,450,892</u>	<u>(3,408,668,555)</u>	<u>567,782,337</u>
Total liabilities and equity	<u>₩5,980,408,648</u>	<u>₩ (2,341,121,903)</u>	<u>₩3,639,286,745</u>	<u>₩7,183,091,162</u>	<u>₩ (3,913,984,446)</u>	<u>₩3,269,106,716</u>

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(iv) As at December 31, 2016 and 2015

(in thousands of Korean won)

	2016			2015		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩1,461,425,176	₩ --	₩1,461,425,176	₩ 192,853,895	₩ --	₩192,853,895
Non-current assets	6,071,590,930	(3,947,716,748)	2,123,874,182	5,767,639,821	(3,982,608,742)	1,785,031,079
Investments in associates and joint ventures	4,944,356,290	(4,519,128,821)	425,227,469	4,837,539,390	(4,533,780,087)	303,759,303
Deferred tax assets	-	571,412,073	571,412,073	-	551,171,345	551,171,345
Total assets	7,533,016,106	(3,947,716,748)	3,585,299,358	5,960,493,716	(3,982,608,742)	1,977,884,974
Liabilities						
Current liabilities	2,476,545,193	-	2,476,545,193	1,911,669,204	-	1,911,669,204
Derivative liabilities	1,874,470,943	-	1,874,470,943	1,820,439,050	-	1,820,439,050
Non-current liabilities	974,091,453	(526,670,614)	447,420,839	1,273,990,355	(581,574,424)	692,415,931
Deferred tax liabilities	526,670,614	(526,670,614)	-	581,574,424	(581,574,424)	-
Total liabilities	3,450,636,646	(526,670,614)	2,923,966,032	3,185,659,559	(581,574,424)	2,604,085,135
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	1,030,620,605	9,313,768	1,039,934,373
Accumulated other comprehensive loss	4,947,005	(3,948,258)	998,747	4,839,666	(3,778,548)	1,061,118
Retained earnings	1,424,706,873	(3,426,411,645)	(2,001,704,772)	1,601,530,283	(3,406,569,539)	(1,805,039,256)
Total equity	4,082,379,460	(3,421,046,134)	661,333,326	2,774,834,157	(3,401,034,318)	(626,200,161)
Total liabilities and equity	₩7,533,016,106	₩ (3,947,716,748)	₩3,585,299,358	₩5,960,493,716	₩ (3,982,608,742)	₩1,977,884,974

Samsung Biologics Co., Ltd. and its Subsidiaries
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(v) As at December 31, 2014 and 2013

(in thousands of Korean won)

	2013			2012		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩ 216,838,130	₩ (106,686,799)	₩ 110,151,331	₩ 156,395,179	₩ (112,364,693)	₩ 44,030,486
Non-current assets	1,138,859,825	(57,023,021)	1,081,836,804	503,166,162	16,598,535	519,764,697
Investments in associates and joint ventures	53,921,974	311,196,041	365,118,015	-	166,631,898	166,631,898
Deferred tax assets	-	-	-	-	-	-
Total assets	1,355,697,955	(163,709,820)	1,191,988,135	659,561,341	(95,766,158)	563,795,183
Liabilities						
Current liabilities	236,793,886	(86,282,991)	150,510,895	169,229,512	(40,234,504)	128,995,008
Non-current liabilities	488,171,822	(52,359,864)	435,811,958	105,868,478	(26,406,024)	79,462,454
Total liabilities	724,965,708	(138,642,855)	586,322,853	275,097,990	(66,640,528)	208,457,462
Equity						
Share premium	801,800,313	7,117,379	808,917,692	516,719,342	-	516,719,342
Accumulated other comprehensive loss	9,170,941	(203,819)	8,967,122	(2,341,862)	(136,268)	(2,478,130)
Retained earnings	(314,664,171)	611,394	(314,052,777)	(218,754,883)	416,267	(218,338,616)
Non-controlling interest	32,591,919	(32,591,919)	-	29,405,629	(29,405,629)	-
Total equity	630,732,247	(25,066,965)	605,665,282	384,463,351	(29,125,630)	355,337,721
Total liabilities and equity	₩1,355,697,955	₩ (163,709,820)	₩1,191,988,135	₩ 659,561,341	₩ (95,766,158)	₩ 563,795,183

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(VI) As at December 31, 2012

(in thousands of Korean won)

	Before restatement	2012 Adjustment	After restatement
Assets			
Current assets	₩ 217,858,628	₩ (141,513,019)	₩ 76,345,609
Non-current assets	344,486,626	77,518,098	422,004,724
Investments in associates and joint ventures	-	163,615,991	163,615,991
Total assets	562,345,254	(63,994,921)	498,350,333
Liabilities			
Current liabilities	107,516,998	(34,243,680)	73,273,318
Non-current liabilities	6,366,172	(1,059,834)	5,306,338
Total liabilities	113,883,170	(35,303,514)	78,579,656
Equity			
Share premium	452,386,129	-	452,386,129
Accumulated other comprehensive loss	(990,977)	(97,997)	(1,088,974)
Retained earnings	(83,168,967)	280,000	(82,888,967)
Non-controlling interest	28,873,410	(28,873,410)	-
Total equity	448,462,084	(28,691,407)	419,770,677
Total liabilities and equity	₩ 562,345,254	₩ (63,994,921)	₩ 498,350,333

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(b) Impact on Financial Performance

If the Company loses the administrative litigation, it shall restate the statements of comprehensive income (consolidated statements of comprehensive income from 2012 to 2014 and 2020 to 2022) as indicated by the Securities and Futures Commission and its impact shall be as follows.

(i) For the years ended December 31, 2022 and 2021

(in thousands of Korean won)

	2022			2021		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 3,001,295,198	₩ -	₩ 3,001,295,198	₩ 1,568,006,928	₩ -	₩ 1,568,006,928
Cost of revenue	(1,532,847,165)	-	(1,532,847,165)	(841,555,563)	-	(841,555,563)
Gross profit	1,468,448,033	-	1,468,448,033	726,451,365	-	726,451,365
Operating profit	983,627,394	-	983,627,394	537,309,408	-	537,309,408
Equity gain (loss) on investments in associates and joint ventures	27,259,827	5,081,537	32,341,364	13,853,142	20,326,148	34,179,290
Gain on disposal of investments in joint ventures	64,417,937	2,325,736,326	2,390,154,263	-	-	-
Net profit before Income tax	1,009,024,574	2,330,817,863	3,339,842,437	561,282,597	20,326,148	581,608,745
Income tax expenses (benefit)	210,968,364	608,328,298	819,296,662	167,693,130	(39,365,508)	128,327,622
Net profit for the year	798,056,210	1,722,489,565	2,520,545,775	393,589,468	59,691,656	453,281,124
Other comprehensive income (loss)	6,995,274	1,576,680	8,571,954	(1,270,499)	-	(1,270,499)
Total comprehensive income for the year	₩ 805,051,484	₩1,724,066,244	₩2,529,117,728	₩392,318,968	₩59,691,656	₩452,010,624

Samsung Biologics Co., Ltd. and its Subsidiaries
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(ii) For the years ended December 31, 2020 and 2019

(in thousands of Korean won)

	2020			2019		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 1,164,776,874	₩ -	₩ 1,164,776,874	₩ 701,591,860	₩ -	₩ 701,591,860
Cost of revenue	(748,700,763)	-	(748,700,763)	(509,584,425)	-	(509,584,425)
Gross profit	416,076,111	-	416,076,111	192,007,435	-	192,007,435
Operating profit	292,786,554	-	292,786,554	91,742,387	-	91,742,387
Equity gain (loss) on investments in associates and joint ventures	(17,767,694)	18,637,659	869,965	72,940,116	17,981,780	90,921,896
Net profit before Income tax	265,992,163	18,637,659	284,629,822	155,435,309	17,981,780	173,417,089
Income tax expenses (benefit)	25,017,363	4,510,313	29,527,676	(47,468,790)	7,691,429	(39,777,361)
Net profit for the year	240,974,800	14,127,346	255,102,146	202,904,099	10,290,351	213,194,450
Other comprehensive income(loss)	3,354,627	-	3,354,627	(3,918,805)	-	(3,918,805)
Total comprehensive income for the year	₩ 244,329,427	₩ 14,127,346	₩ 258,456,773	₩ 198,985,294	₩ 10,290,351	₩ 209,275,645

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(iii) For the years ended December 31, 2018 and 2017

	2018			2017		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 535,805,801	₩ -	₩ 535,805,801	₩ 464,629,334	₩ -	₩ 464,629,334
Cost of revenue	(390,645,859)	-	(390,645,859)	(332,829,273)	-	(332,829,273)
Gross profit	145,159,942	-	145,159,942	131,800,061	-	131,800,061
Operating profit (loss)	55,678,745	-	55,678,745	65,979,402	-	65,979,402
Equity gain (loss) on investments in associates and joint ventures	(129,337,333)	(3,364,228)	(132,701,561)	(129,602,338)	15,464,387	(114,137,951)
Gain on disposal of investments in joint ventures	389,213,672	2,119,447,933	2,508,661,605	-	-	-
Loss on valuation of derivatives	-	-	-	(59,091,484)	-	(59,091,484)
Net profit (loss) before Income tax	302,975,837	2,116,083,704	2,419,059,541	(115,994,753)	15,464,387	(100,530,366)
Income tax expenses (benefit)	78,866,642	513,831,346	592,697,988	(19,022,637)	3,254,198	(15,768,439)
Net profit (loss) for the year	224,109,195	1,602,252,358	1,826,361,553	(96,972,116)	12,210,189	(84,761,927)
Other comprehensive income (loss)	(2,966,514)	(274,831)	(3,241,345)	(8,956,451)	167,389	(8,789,062)
Total comprehensive income (loss) for the year	₩ 221,142,681	₩ 1,601,977,527	₩ 1,823,120,208	₩ (105,928,567)	₩ 12,377,578	₩ (93,550,989)

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(iv) For the years ended December 31, 2016 and 2015

(in thousands of Korean won)

	2016			2015		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 294,622,021	₩ -	₩ 294,622,021	₩ 91,278,029	₩ (23,901,796)	₩ 67,376,233
Cost of revenue	(268,088,358)	-	(268,088,358)	(114,784,617)	48,453,429	(66,331,188)
Gross profit (loss)	26,533,663	-	26,533,663	(23,506,588)	24,551,633	1,045,045
Operating profit (loss)	(30,422,639)	-	(30,422,639)	(203,642,444)	160,536,379	(43,106,065)
Equity loss on investments in associates and joint ventures	(129,222,650)	14,651,266	(114,571,384)	(19,395,735)	(151,241,000)	(170,636,735)
Earnings from disposal of investments in subsidiaries	-	-	-	4,543,610,535	(4,543,610,535)	-
Loss on valuation of derivatives	(54,031,894)	-	(54,031,894)	(1,820,439,050)	-	(1,820,439,050)
Net profit (loss) before Income tax	(230,900,983)	14,651,266	(216,249,717)	2,488,062,610	(4,528,216,321)	(2,040,153,711)
Income tax expenses (benefit)	(54,077,574)	34,493,373	(19,584,201)	583,116,693	(1,132,283,925)	(549,167,232)
Net profit (loss) for the year	(176,823,409)	(19,842,107)	(196,665,516)	1,904,945,917	(3,395,932,396)	(1,490,986,479)
Other comprehensive income (loss)	107,338	(169,709)	(62,371)	(8,535,494)	629,489	(7,906,005)
Total comprehensive income (loss) for the year	₩ (176,716,071)	₩ (20,011,816)	₩ (196,727,887)	₩1,896,410,423	₩ (3,395,302,907)	₩ (1,498,892,484)

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(v) For the years ended December 31, 2014 and 2013

(in thousands of Korean won)

	2014			2013		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 105,148,784	₩ (76,130,543)	₩ 29,018,241	₩ 17,120,845	₩ (17,077,340)	₩ 43,505
Cost of revenue	(124,868,406)	41,530,645	(83,337,761)	(54,438,932)	54,399,778	(39,154)
Gross profit (loss)	(19,719,622)	(34,599,898)	(54,319,520)	(37,318,087)	37,322,438	4,351
Operating profit (loss)	(119,541,186)	38,655,238	(80,885,948)	(154,092,746)	89,212,838	(64,879,908)
Equity loss on investments in associates and joint ventures	(32,679,484)	(35,067,057)	(67,746,541)	-	(73,031,096)	(73,031,096)
Net profit (loss) before Income tax	(99,688,402)	3,974,241	(95,714,161)	(148,473,756)	13,024,108	(135,449,648)
Net profit (loss) for the year	(99,688,402)	3,974,241	(95,714,161)	(148,473,756)	13,024,108	(135,449,648)
Other comprehensive income (loss)	11,295,735	149,517	11,445,252	(1,424,072)	34,915	(1,389,157)
Total comprehensive income (loss) for the year	₩ (88,392,667)	₩ 4,123,758	₩ (84,268,909)	₩ (149,897,828)	₩ 13,059,023	₩(136,838,805)

(vi) For the year ended December 31, 2012

(in thousands of Korean won)

	2012		
	Before restatement	Adjustment	After restatement
Revenue	₩ -	₩ -	₩ -
Cost of revenue	-	-	-
Gross profit (loss)	-	-	-
Operating profit (loss)	(91,357,686)	51,645,812	(39,711,874)
Equity loss on investments in associates and joint ventures	-	(40,016,257)	(40,016,257)
Net profit (loss) before Income tax	(80,241,939)	7,341,692	(72,900,247)
Income tax expenses	2,066,460	-	2,066,460
Net profit for the year	(82,308,399)	7,341,692	(74,966,707)
Other comprehensive income (loss)	(1,038,989)	(50,393)	(1,089,382)
Total comprehensive loss for the year	₩ (83,347,388)	₩ 7,291,299	₩ (76,056,089)

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36. Events After the Reporting Period

Samsung Bioepis Co., Ltd., a subsidiary of the Parent Company, decided to invest in the New Technology Business Investment Association (SVIC #63) to discover new business opportunities in life science in accordance with resolution of Board of Directors on January 18, 2023. The total investment amount is ₩ 19,800 million, which will be paid in two installments. The first payment is expected to be ₩11,880 million in January 2023, and the second payment will be ₩ 7,920 million in August 2023.